

CHAPTER 4

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PREVENTION OF GREENWASHING: INTERNATIONAL PERSPECTIVE

In most major jurisdictions, greenwashing is no longer seen as mere puffery. Regulators increasingly treat it as a problem of evidence, verification and institutional trust.²³⁸ What began as soft guidance is turning into disclosure duties and pre-publication substantiation rules.²³⁹ It is also turning into assurance requirements.²⁴⁰ In some systems, it is turning into personal exposure for directors and senior managers as well.²⁴¹ Courts and regulators in cases involving Volkswagen, Shell, KLM and others show a growing willingness to use existing consumer, securities and environmental law against misleading sustainability claims, including increasingly sophisticated future-facing narratives.²⁴² The harder question is no longer whether

²³⁸ Giuseppe Labbozzetta, *The Era of Environmental Transparency: Comparative Analysis of Green Claims/Greenwashing Regulations in the European Union, United Kingdom, and United States (2024–2026)*, 19 Int'l In-House Counsel J. (Sept. 2025), <https://www.iicj.net/paper/3785> (last visited Dec. 20, 2025).

²³⁹ Charles Russell Speechlys, *Anti-greenwashing in the UK, EU and the US: The Outlook for 2025 and Best Practice Guidance* (June 9, 2025), <https://www.charlesrussellspeechlys.com/en/insights/expert-insights/dispute-resolution/2025/anti-greenwashing-in-the-uk-eu-and-the-us-the-outlook-for-2025-and-best-practice-guidance> (last visited Jan. 20, 2026).

²⁴⁰ Ivana Martinčević, Dinko Primorac & Barbara Dorić, *Corporate Sustainability Reporting Directive (CSRD): Obligations, Challenges and Requirements for Companies*, 10 Entrenova - Enter. Rsch. Innovation J. (2024), <https://hrcak.srce.hr/ojs/index.php/entrenova/article/view/33614> (last visited July 14, 2024).

²⁴¹ Alexander B. Simkin & Eileen M. Falk, *Greenwashing Legislation Trends: Key Takeaways for Businesses*, Ropes & Gray (Sept. 2, 2025), <https://www.ropesgray.com/en/insights/viewpoints/10212on/greenwashing-legislation-trends-key-takeaways-for-businesses> (last visited Dec. 12, 2025).

²⁴² *Greenwashing 3.0: Narratives About the Future*, in Proceedings of the 19th European Conference on Innovation and Entrepreneurship (ECIE 2024) (Stéphanie Buisine ed., 2024), <https://papers.academic-conferences.org/index.php/ecie/article/view/2953> (last visited July 16, 2024).

states are responding. The real question is how coherent those responses are and how early they intervene.²⁴³

A basic split runs through these regulatory developments worldwide. Some jurisdictions treat greenwashing primarily as a *downstream* problem: consumer deception or misleading advertising punished after the fact through fines, corrections, or both. Others are moving *upstream*. They treat misleading environmental claims as a failure of corporate governance and place responsibility on boards and senior management before those claims reach the market. That split, between downstream remedy and upstream accountability, explains where international regulation is heading.

The OECD's *Regulatory Policy Outlook 2025* supports this distinction. It argues that effective regulation depends on investing in the “cooperation and capacity of regulatory institutions” so enforcement can shift from reactive responses to proactive, risk-based supervision.²⁴⁴ That is the upstream model. Jurisdictions that build verification of environmental claims into corporate governance are therefore better placed to prevent greenwashing than those that rely only on post-hoc consumer remedies.

4.1 INTERNATIONAL STANDARDS AND GLOBAL NORMATIVE FRAMEWORKS

International standards matter because they set the baseline that national regulators use to test environmental claims. Without a common technical language, enforcement quickly turns into argument over terminology. These frameworks do not remove

²⁴³ C. Stöhr, *The Intersection of Corporate, Consumer, and Financial Regulation*, 21 *Zeitschrift für Europarechtliche Studien* 1 (2024).

²⁴⁴ Organisation for Economic Co-operation and Development, *OECD Regulatory Policy Outlook 2025* (2025), https://www.oecd.org/en/publications/oecd-regulatory-policy-outlook-2025_4bdf1514-en.html (last visited Jan. 21, 2026) (emphasising that effective regulatory systems require investment in “cooperation and capacity of regulatory institutions” and advocating for proactive, risk-based supervision over reactive enforcement).

disagreement, but they narrow it by defining what counts as an accurate, verifiable and scientifically grounded claim.

4.1.1 ISO 14021 AND TECHNICAL SUBSTANTIATION

The International Organization for Standardization (ISO) 14000 series provides an international baseline for environmental claims and labelling.²⁴⁵ ISO 14021, in particular, reflects the consensus on self-declared environmental claims.²⁴⁶ It requires environmental claims to be specific about what is being claimed and whether it relates to the product, a component, or the packaging. It also requires the full life cycle to be considered so that environmental burdens are not simply shifted elsewhere.²⁴⁷

ISO 14021 prohibits vague terms such as “eco-friendly”, “green”, “nature’s friend”, or “environmentally safe”. These claims are too broad to be properly understood by consumers or verified in technical terms. The standard requires supporting documentation that is “clear, transparent, scientifically sound and documented”.

The ISO 14021 framework has a significant limitation: the “verification gap”. Unlike Type I labels (ISO 14024), which require third-party certification, Type II claims under ISO 14021 are self-verified. Accuracy rests with the claimant alone. That leaves ample room for discretion and, in practice, misleading claims.

The scale of the problem was hard to ignore. Before recent legislative intervention, studies found that about 53% of green claims in the EU were vague or unfounded.²⁴⁸ Voluntary self-certification was not enough.

²⁴⁵ Kun-Mo Lee & Haruo Uehara, *Best Practices of International Organization for Standardization (ISO) 14021: Self Declared Environmental Claims*, APEC (Feb. 2003), <https://www.apec.org/publications/2003/02/best-practices-of-international-organization-for-standardization-iso-14021-self-declared-environment> (last visited July 24, 2024).

²⁴⁶ *Green Claims and Eco-Labeling Compliance: A Complete Guide*, Compliance & Risks (2024), <https://www.complianceandrisks.com/blog/green-claims-and-eco-labeling-compliance-a-complete-guide-to-avoiding-greenwashing-while-building-consumer-trust> (last visited Aug. 4, 2024).

²⁴⁷ *What is ISO 14021? Self-Declared Environmental Claims Explained*, Decerna (2023), <https://www.decerna.co.uk/knowledge-base/life-cycle-assessment/iso-standards/what-is-iso-14021-self-declared-environmental-claims-explained> (last visited Aug. 17, 2024).

²⁴⁸ European Commission, *Environmental Claims in the EU: Inventory and Reliability Assessment* 7–12 (2020), <https://op.europa.eu/en/publication-detail/-/publication/f7c4cb8b-f877-11ee-a251->

4.1.2 UN HIGH-LEVEL EXPERT GROUP AND THE “INTEGRITY MATTERS” REPORT

As “net-zero” pledges spread without credible transition pathways, the United Nations Secretary-General convened the High-Level Expert Group (HLEG) on the Net Zero Emissions Commitments of Non-State Entities.²⁴⁹ Its “Integrity Matters” report, released at COP27, set out ten recommendations aimed at preventing “net-zero greenwashing” by corporations and financial institutions.²⁵⁰ Parallel guidance extended the same integrity logic to cities, states and regions.²⁵¹

The HLEG framework demands “zero tolerance” for net-zero pledges that lack interim targets or rely on the purchase of cheap carbon offsets rather than absolute emissions reductions within the value chain.²⁵² Key highlights of the recommendations include:

Table 4.1: HLEG Net-Zero Integrity Recommendations

HLEG Recommendation	Key Requirement	Implementation Context
Net Zero Pledge	Must include interim targets for 2025, 2030 and 2035	Public disclosure by leadership

01aa75ed71a1/language-en (last visited Aug. 21, 2024) (reporting that 53.3% of environmental claims examined in the EU were vague, misleading, or unfounded).

²⁴⁹ U.N. High-Level Expert Grp. on the Net Zero Emissions Commitments of Non-State Entities, *Integrity Matters: Net Zero Commitments by Businesses, Financial Institutions, Cities and Regions* (Nov. 2022), https://www.un.org/sites/un2.un.org/files/Integrity_Matters_Report.pdf (last visited Aug. 25, 2024).

²⁵⁰ Grantham Research Institute, *UN Recommendations Seek to Tackle Greenwashing and Push Net Zero Governance Forward*, LSE (Nov. 8, 2022), <https://www.lse.ac.uk/granthaminstitute/news/un-recommendations-seek-to-tackle-greenwashing-and-push-net-zero-governance-forward> (last visited Aug. 30, 2024).

²⁵¹ Global Covenant of Mayors for Climate & Energy, *Integrity Matters for Cities, States and Regions* (Dec. 2, 2023), <https://www.globalcovenantofmayors.org/wp-content/uploads/2023/12/Integrity-Matters-Report-Final3.pdf> (last visited Aug. 23, 2024).

²⁵² U.N. High-Level Expert Grp. on the Net Zero Emissions Commitments of Non-State Entities, *Integrity Matters: Net Zero Commitments by Businesses, Financial Institutions, Cities and Regions* (Nov. 2022), https://www.un.org/sites/un2.un.org/files/Integrity_Matters_Report.pdf (last visited Aug. 25, 2024).

HLEG Recommendation	Key Requirement	Implementation Context
Emission Scopes	Must cover Scope 1, 2 and 3 emissions across the entire value chain	Immediate focus on fossil fuel phase-out
Voluntary Credits	High-integrity credits only for “beyond value chain” mitigation; cannot count toward interim targets	Focus on absolute reductions
Transition Plans	Publicly disclosed, actionable plans with third-party verification	Updated every five years
Lobbying Alignment	Must align advocacy and trade association memberships with net-zero goals	Prevents contradictory climate policy influence

The HLEG recommendations state that “the world cannot reach net zero by 2050 without ending deforestation by 2025”. That puts immediate pressure on financial institutions to remove agricultural commodity-driven deforestation from their portfolios. The framework has strongly influenced the development of mandatory reporting standards in both the European Union and the United Kingdom. It also shifts the burden of proof from regulators to reporting entities.²⁵³

²⁵³ Grantham Research Institute, *UN Recommendations Seek to Tackle Greenwashing and Push Net Zero Governance Forward*, LSE (Nov. 8, 2022), <https://www.lse.ac.uk/granthaminstitute/news/un-recommendations-seek-to-tackle-greenwashing-and-push-net-zero-governance-forward> (last visited Aug. 30, 2024).

4.1.3 IOSCO REPORT ON SUPERVISORY PRACTICES RELATED TO GREENWASHING

The International Organization of Securities Commissions (IOSCO) published its *Final Report on Supervisory Practices to Address Greenwashing* in December 2023. It remains the most comprehensive multilateral account of how securities regulators are responding across member jurisdictions.²⁵⁴ The report matters for four reasons.

First, IOSCO found that there is still no globally accepted *definition* of greenwashing. Second, IOSCO documented the full range of enforcement tools across jurisdictions, including infringement notices, monetary fines, licence revocations and criminal investigations. The diversity described in this chapter is therefore not selective illustration; it reflects a real global pattern. Third, IOSCO endorsed the ISSB’s IFRS S1/S2 standards for sustainability reporting. Those standards are being adopted by Japan’s SSBJ and are already influencing India’s standards development, creating a point of normative convergence that India will eventually have to address. Fourth, IOSCO identified practices beyond greenwashing itself: “greenhushing” (under-reporting green credentials to avoid regulatory scrutiny) and “green-bleaching” (investing sustainably without labelling it as such). That complements this chapter’s discussion of greenhushing in the Canadian context (Section 4.5.2).

4.1.4 COMPARATIVE ANALYTICAL FRAMEWORK

This chapter compares jurisdictions through seven variables drawn from the five research gaps identified in Chapter 1 (Section 1.4). Those variables are applied through the international frameworks discussed above and then used consistently in the jurisdiction-by-jurisdiction analysis below. Each jurisdiction is evaluated against these seven dimensions:

²⁵⁴ International Organization of Securities Commissions (IOSCO), *Final Report on Supervisory Practices to Address Greenwashing*, FR15/2023 (Dec. 2023), <https://www.iosco.org/library/pubdocs/pdf/IOSCOPD750.pdf> (last visited Sep. 8, 2024) (documenting supervisory practices across member jurisdictions, finding no globally accepted definition of greenwashing, endorsing ISSB’s IFRS S1/S2 standards, and identifying emerging malpractices including “greenhushing” and “green-bleaching”).

1. **Scope of application:** whether the framework addresses product-level claims, corporate-level disclosures, securities-level ESG, or some combination
2. **Substantiation model:** whether claims are defended ex post (after challenge) or verified ex ante (before publication)
3. **Assurance architecture:** the level of independent verification required (none / limited / reasonable / third-party certification)
4. **Director/officer personal liability:** the fault standard for personal accountability (none / negligence / scienter / strict)
5. **Penalty architecture:** the severity and structure of sanctions (fixed fines / turnover-based / criminal / private right of action)
6. **Regulatory integration:** whether the jurisdiction’s framework is fragmented across agencies or coordinated through a multi-instrument approach
7. **Enforcement posture:** whether the regulatory approach is reactive (complaint-driven), proactive (surveillance-based), or somewhere in between

Variables 6 and 7 draw normative authority from the OECD’s *Regulatory Enforcement and Inspections Toolkit* (2018) and *Best Practice Principles on International Regulatory Co-operation* (2021), which establish that “strategic targeting, information-sharing and inter-agency coordination” are baseline governance requirements for effective enforcement across regulatory domains.²⁵⁵ KPMG Law’s *The Challenge of Greenwashing: An International Regulatory Overview* (2024; updated 2025 edition covering 28 jurisdictions) provides the most current commercial mapping of greenwashing regulations worldwide, confirming that

²⁵⁵ Organisation for Economic Co-operation and Development, *OECD Regulatory Enforcement and Inspections Toolkit* (2018), https://www.oecd.org/en/publications/oecd-regulatory-enforcement-and-inspections-toolkit_9789264303959-en.html (last visited Sep. 9, 2024); see also Organisation for Economic Co-operation and Development, *Best Practice Principles on International Regulatory Co-operation* (2021), https://www.oecd.org/en/publications/oecd-best-practice-principles-on-international-regulatory-co-operation_ed3f854c-en.html (last visited Sep. 9, 2024) (establishing that “strategic targeting, information-sharing, and inter-agency coordination” are baseline governance requirements for effective enforcement across regulatory domains).

the jurisdictional scope of this chapter aligns with the broadest available regulatory survey.²⁵⁶

These variables structure the chapter throughout and feed into the master comparative table in section 4.9.

4.2 THE EUROPEAN UNION: CONVERGENT HARD-LAW FRAMEWORK

What makes the European Union distinctive is not a single rule but the way several rules work together. Its strategy is anchored in the European Green Deal.²⁵⁷ A set of “sister” directives is designed to make environmental claims reliable, comparable and verifiable across member states.²⁵⁸ The EU approach remains the world’s most comprehensive hard-law framework for preventing greenwashing. It works through three interconnected regulatory instruments.

4.2.1 THE CORPORATE SUSTAINABILITY REPORTING DIRECTIVE (CSRD)

The CSRD, transposing into EU law by December 2023, represents the world’s most expansive mandatory sustainability reporting regime.²⁵⁹ Contemporary analysis also treats it as the central reporting pillar of the EU’s anti-greenwashing architecture.²⁶⁰ It requires large EU companies (initially, those exceeding 500 employees; expanding in phases to include smaller entities) to disclose environmental and social information against the European Sustainability Reporting Standards (ESRS).

²⁵⁶ KPMG Law, *The Challenge of Greenwashing: An International Regulatory Overview* (2024; updated 2025 ed. covering 28 jurisdictions), <https://kpmg.com/xx/en/our-insights/esg/the-challenge-of-greenwashing.html> (last visited Jan. 23, 2026) (providing the most current commercial mapping of greenwashing regulations worldwide).

²⁵⁷ European Comm’n, *Green Claims*, https://environment.ec.europa.eu/topics/circular-economy-topics/green-claims_en (last visited Sep. 24, 2024).

²⁵⁸ J. MacLennan & W. De Catelle, *The Revision of EU Greenwashing Laws: A New Framework of Analysis*, 10 Bus. & Hum. Rts. J. (Mar. 28, 2025).

²⁵⁹ *CSRD Obligations and Impact*, MAB Online (2024), <https://mab-online.nl/article/136049> (last visited Oct. 6, 2024).

²⁶⁰ Martin Szilasi, *CSRD: Obligations, Challenges, Requirements*, 2024 Civil Review 1 (2024), <https://ojs.mtak.hu/index.php/civilszemle/article/view/16175> (last visited Oct. 12, 2024).

Double Materiality Assessment. The double materiality assessment requires companies to report both how sustainability issues affect the business (financial materiality) and how the business affects the environment and society (impact materiality).²⁶¹ This is a major shift in governance design.²⁶² Traditional financial reporting looks inward, at risks to the company. Double materiality also looks outward, at the company's effects on others.

Third-Party Assurance Architecture. The CSRD requires limited assurance from the first reporting year.²⁶³ Limited assurance standards were to be adopted by 1 October 2026 and reasonable assurance standards, which are closer to a full audit-style review, by 1 October 2028.²⁶⁴ This two-tier model sets the CSRD apart from weaker voluntary frameworks and increases both the cost and seriousness of compliance.²⁶⁵

Under the CSRD, the board of directors retains ultimate responsibility for the accuracy of the sustainability report. Directors must ensure that adequate mechanisms are in place to review and challenge the data before publication.²⁶⁶ Accountability therefore sits at governance level. Sustainability claims are no longer left to marketing teams alone.

Challenges in Implementation: Early implementation reviews show significant preparedness gaps. Large listed companies have begun ESRS-compliant reporting in anticipation, but market practice still reveals substantial shortcomings in readiness and

²⁶¹ *CSRD System Design and Management Perspectives*, 4 *Commodities* 10 (2024), <https://www.mdpi.com/2305-6703/4/4/10> (last visited Oct. 16, 2024).

²⁶² PwC, *EU Green Deal: Better Governance, Greater Value* (2024), <https://www.pwc.com/gx/en/services/legal-business-solutions/esg-legal/eu-green-deal-governance-value.html> (last visited Oct. 17, 2024).

²⁶³ *Third-Party Audits Under CSRD*, J. *Cleaner Prod.* (2025), <https://linkinghub.elsevier.com/retrieve/pii/S0301479725009843> (last visited Oct. 22, 2025).

²⁶⁴ *CSRD Assurance Timeline*, J. *Acct.* (2024), <https://www.tandfonline.com/doi/pdf/10.1080/12460125.2024.2354614> (last visited Nov. 1, 2024).

²⁶⁵ *CSRD Sustainability Assurance Requirements*, Int'l Info. & Eng'g Tech. Ass'n (2024), <https://www.iieta.org/download/file/fid/124626> (last visited Oct. 28, 2024).

²⁶⁶ PwC, *EU Green Deal: Better Governance, Greater Value* (2024), <https://www.pwc.com/gx/en/services/legal-business-solutions/esg-legal/eu-green-deal-governance-value.html> (last visited Oct. 17, 2024).

considerable work before mandatory implementation.²⁶⁷ The assurance standard-setting process has also been delayed, forcing temporary reliance on national frameworks.

4.2.2 THE GREEN CLAIMS DIRECTIVE (PROPOSED)

A short clarification is necessary because two EU instruments are often confused. Directive 2024/825, adopted in March 2024, amended the Unfair Commercial Practices Directive to add greenwashing-specific prohibitions; this is the ECGT Directive, discussed in Section 4.2.3 below. The *Green Claims Directive*, by contrast, is a separate Commission proposal.²⁶⁸ Commentary on the emerging regime treats it as the EU's most ambitious move toward pre-approval requirements and mandatory lifecycle assessments for environmental claims.²⁶⁹ Parliamentary and policy reporting have described the proposal in similar terms.²⁷⁰ As of early 2026, it has not been formally adopted and remains pending.

The proposed Green Claims Directive targets business-to-consumer environmental claims that fall outside the CSRD's investor-facing focus. The division of work is straightforward: the CSRD governs corporate-level sustainability reporting for financial markets, while the Green Claims Directive would govern product-level environmental marketing to consumers.

The proposal imposes demanding substantiation requirements. The proposed text requires companies to prove explicit environmental claims before publication, submit them to accredited third-party verification and disclose the lifecycle assessment

²⁶⁷ EFRAG, *State of Play as of Q2 2024: Implementation of European Sustainability Reporting Standards (ESRS)* (July 2024) (documenting uneven preparedness and implementation gaps as companies move toward mandatory ESRS reporting).

²⁶⁸ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, 2023/0085 (COD) (Mar. 22, 2023).

²⁶⁹ Katalin Cseres, *EU Regime for Corporate Green Claims*, 33 Rev. Eur. & Comp. L. 1 (2024), <https://czasopisma.kul.pl/index.php/recl/article/view/17459> (last visited Nov. 6, 2024).

²⁷⁰ *European Parliament Adopts Rules on Green Claims*, Virtus Interpress (2024).

methodology behind them.²⁷¹ The Commission’s own summary describes the same standard as requiring “robust, science-based and verifiable methods”, which in many cases means a full life-cycle assessment (LCA).²⁷²

Pre-Approval Mechanism. A central feature of the proposed GCD is pre-approval. Under the proposal, environmental claims and labels would need to be checked by an independent, accredited verifier before publication.²⁷³ The Commission’s explanatory material describes the verifier’s output as a “Certificate of Conformity”, giving companies a legal safe harbour while protecting consumers.²⁷⁴ The shift is important: it moves from ex post enforcement to ex ante verification.

The proposal defines prohibited practices, including:

- Vague or generic claims (“environmentally friendly”, “ecological”, “green”) without specific evidence²⁷⁵
- Comparative claims unsupported by demonstrated superiority against genuinely similar products
- Unsubstantiated “net zero” or “carbon neutral” claims without detailed offset disclosure and lifecycle analysis²⁷⁶

²⁷¹ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, arts. 3–5 (Mar. 22, 2023).

²⁷² European Comm’n, *Green Claims*, https://environment.ec.europa.eu/topics/circular-economy/green-claims_en (last visited Nov. 9, 2024) (summarising the proposal’s substantiation and verification requirements).

²⁷³ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, arts. 10–11 (Mar. 22, 2023).

²⁷⁴ European Comm’n, *Green Claims*, https://environment.ec.europa.eu/topics/circular-economy/green-claims_en (last visited Nov. 18, 2024).

²⁷⁵ Baker McKenzie, *Vague Claims and Substantiation Requirements* (2024), https://insightplus.bakermckenzie.com/bm/consumer-goods-retail_1/european-union-regime-for-corporate-green-claims (last visited Nov. 19, 2024).

²⁷⁶ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, art. 3(1)(h) & recital 21 (Mar. 22, 2023).

- Partial claims where a company portrays a small, environmentally friendly aspect of its business as representative of its overall operation²⁷⁷

Proposed penalties are severe, including fines of at least 4% of annual turnover in the member state.²⁷⁸ They also include confiscation of revenues from the misleading activity and temporary exclusion from public procurement.²⁷⁹

Implementation Uncertainty. The proposal ran into political resistance in June 2025.²⁸⁰ The European Commission temporarily withdrew support after pressure from conservative MEPs who argued that it would create excessive regulatory burden.²⁸¹ As of early 2026, the proposal remains in trilogue negotiations and may emerge in a narrower form.²⁸²

4.2.3 THE EMPOWERING CONSUMERS FOR THE GREEN TRANSITION DIRECTIVE (ECGT DIRECTIVE)

Adopted in January 2024 and applicable from September 2026, this directive amended the Unfair Commercial Practices Directive (UCPD) and Consumer Rights Directive to insert specific greenwashing prohibitions.²⁸³ Implementation commentary notes

²⁷⁷ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, art. 3(1)(a) & recital 14 (Mar. 22, 2023).

²⁷⁸ Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 166 final, art. 17(3) (Mar. 22, 2023).

²⁷⁹ European Comm'n, *Green Claims*, https://environment.ec.europa.eu/topics/circular-economy/green-claims_en (last visited Nov. 26, 2024) (describing fines, confiscation of revenues, and exclusion from public procurement as available penalties under the proposal).

²⁸⁰ *Green Claims Directive: Status of the Legislative Process*, Eur. Parliament Legislative Train Schedule (June 2025), <https://www.europarl.europa.eu/legislative-train/theme-a-european-green-deal/file-substantiating-environmental-claims> (last visited Nov 30, 2025).

²⁸¹ Jon McGowan, *Future of EU Greenwashing Law Uncertain as Green Claims Directive Falters*, Forbes (June 26, 2025), <https://www.forbes.com/sites/jonmcgowan/2025/06/26/future-of-eu-greenwashing-law-uncertain-as-green-claims-directive-falters> (last visited July 2, 2025).

²⁸² EY, *European Parliament Adopts New Rules on Green Claims* (2024), https://www.ey.com/en_gl/technical/tax-alerts/european-parliament-adopts-new-rules-on-green-claims (last visited Dec. 6, 2024).

²⁸³ Directive (EU) 2024/825 of the European Parliament and of the Council of 28 February 2024 amending Directives 2005/29/EC and 2011/83/EU as regards empowering consumers for the green

that enforcement and penalties remain mediated through member-state systems.²⁸⁴ The ECGT bans generic environmental claims such as “eco-friendly”, “green”, or “climate neutral” unless the trader can substantiate “excellent environmental performance”.²⁸⁵ In practice, that means reliance on a recognized scheme such as the EU Ecolabel.²⁸⁶

The ECGT bans claims that a product has a neutral, reduced, or positive impact on the environment.²⁸⁷ It does so where those claims are based on greenhouse gas emissions offsetting.²⁸⁸ This is a definitive rejection of the “carbon neutral” marketing that has dominated the aviation and consumer goods sectors without corresponding emission reductions.

Unlike the Green Claims Directive, the ECGT Directive operates as a safety net for sectors without more specific regulation. Existing rules, such as textile-labelling regimes, take precedence where they are stricter. Member states also retain discretion on enforcement and the EU does not prescribe penalty levels. Deterrence therefore varies across jurisdictions.²⁸⁹

4.2.4 EU ENFORCEMENT PRACTICE

European Commission Actions. Commission-level enforcement has focused primarily on competition law grounds, most notably the 2021 action against Volkswagen, BMW

transition through better protection against unfair practices and through better information, 2024 O.J. (L 2024/825) (applicable from Sept. 27, 2026).

²⁸⁴ *ECGT Enforcement and Penalties*, Ecomundo EU (2024), <https://ecomundo.eu/en/blog/eu-directive-2024-825-misleading-green-claims> (last visited Dec. 12, 2024).

²⁸⁵ Directive (EU) 2024/825, recital 9.

²⁸⁶ Directive (EU) 2024/825, recital 10.

²⁸⁷ Directive (EU) 2024/825, recital 12.

²⁸⁸ Directive (EU) 2024/825, Annex I amendments to Directive 2005/29/EC.

²⁸⁹ Directive (EU) 2024/825, art. 4 (requiring Member States to apply implementing measures from Sept. 27, 2026, while leaving enforcement and penalties to national systems under the amended consumer-protection framework).

and Daimler for collusion on emissions-cleaning technology development.²⁹⁰ Consumer deception, by itself, is not the Commission’s primary target. The Commission has issued guidance documents but has not brought formal greenwashing enforcement actions under the consumer protection framework.

Member State Enforcement. Implementation gap signals are visible. France’s DGCCRF (competition and fraud authority) issued 141 warnings and 114 injunctions for misleading environmental claims, addressing primarily broad, undifferentiated claims (“environmentally friendly” without specific evidence).²⁹¹ Italy’s ICA launched formal investigations into fashion retailers for “generic, vague and misleading” circularity claims.²⁹²

This reflects a familiar EU problem: once directives leave enforcement to national authorities, variation follows. The EU has tried to manage that through the *Consumer Protection Cooperation (CPC) Network* sweep methodology, which enables coordinated cross-border enforcement of the UCPD and ECGT. Under the CPC framework, national consumer protection authorities investigate the same sector at the same time. A 2020 CPC sweep found that nearly 60% of traders did not give consumers enough information to verify environmental claims. In 2024, the CPC Network launched coordinated investigations into 20 airlines for potentially misleading green claims, including vague “sustainable” language, unsubstantiated offset claims and claims about future environmental performance.²⁹³ The mechanism

²⁹⁰ Press Release, European Comm’n, Antitrust: Commission fines car manufacturers €875 million for restricting competition in emission cleaning for new diesel passenger cars (July 8, 2021), https://ec.europa.eu/commission/presscorner/detail/en/ip_21_3581 (last visited Dec. 13, 2024).

²⁹¹ Direction Générale de la Concurrence, de la Consommation et de la Répression des Fraudes (DGCCRF), *Bilan d’Activité 2023* (France) (reporting 141 warnings and 114 injunctions in relation to misleading environmental claims).

²⁹² *Infinite Style Servs. Co. Ltd / Shein*, PS12709 (Autorità Garante della Concorrenza e del Mercato July 29, 2025) (It.).

²⁹³ European Commission, *Consumer Protection Cooperation Network: Screening of Websites for “Greenwashing”* (2021), https://commission.europa.eu/live-work-travel-eu/consumer-rights-and-complaints/enforcement-consumer-protection/sweeps_en (last visited Dec. 18, 2024) (reporting that a 2020 CPC sweep found nearly 60% of traders did not provide sufficient information for consumers to verify environmental claims); *see also* European Commission, *CPC Coordinated Action Against Airlines for Greenwashing* (2024), https://ec.europa.eu/commission/presscorner/detail/en/ip_24_3164

does not remove enforcement variability, but it gives the EU a coordination tool that no other jurisdiction currently matches.

Another, less visible element of the EU's anti-greenwashing framework is the *EU Whistleblower Protection Directive* (2019/1937), which requires organisations to establish internal reporting channels and prohibits retaliation against persons reporting breaches of Union law, explicitly including environmental law within its scope.²⁹⁴ Insiders such as employees, suppliers and auditors are often best placed to identify the gap between environmental claims and actual corporate performance. The Directive gives legal protection to that detection function and complements the enforcement architecture described above.

The EU's strength lies in integration. The CSRD, GCD, ECGT and whistleblower protections together cover the full chain: board-level reporting, consumer-facing marketing claims and insider detection. That creates *upstream* accountability through governance obligations alongside *downstream* enforcement through consumer protection. The CPC Network adds a coordination layer to manage the fragmentation that comes with delegating enforcement to 27 member states. India has no equivalent integrated framework. Its disclosure regime (BRSR) runs through SEBI, consumer protection runs through the CCPA and corporate duties run through the Companies Act, but there is no connecting architecture between them, no CPC-style coordination mechanism and no whistleblower protection tailored to environmental misrepresentation.

4.3 THE UNITED STATES: FRAGMENTED FRAMEWORK UNDER POLITICAL PRESSURE

The United States has no single federal law on greenwashing. Instead, regulation is a patchwork of FTC guidance, SEC disclosure rules and aggressive state-level

(last visited Dec. 18, 2024) (launching coordinated investigations into 20 airlines for potentially misleading green claims).

²⁹⁴ Directive 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union law, 2019 O.J. (L 305) 17 (requiring organisations to establish internal reporting channels and prohibiting retaliation against persons reporting breaches of Union law, explicitly including environmental law within its material scope under Article 2(1)(e)).

litigation. This fragmentation creates both opportunities and difficulties for enforcement.

4.3.1 SEC CLIMATE DISCLOSURE RULES: ADOPTED AND STAYED

In March 2024, the SEC adopted climate-related disclosure rules.²⁹⁵ They required large public companies to disclose (1) material climate-related risks and mitigation activities; (2) climate-related targets and their scope; (3) impacts of severe weather events on financial statements; and (4) governance of climate risk.²⁹⁶ The final rule narrowed from the proposal by eliminating Scope 3 GHG emission disclosure requirements in response to corporate and state pressure.²⁹⁷

Safe Harbor and Liability. A key point of contention was the “safe harbor” provision for climate disclosures. Many corporations argued that being held liable for emissions data from third-party suppliers was an undue burden. The SEC’s proposed safe harbor would protect disclosures made “reasonably and in good faith”. The future of this federal mandate is uncertain.²⁹⁸

Legal and Political Challenges. Immediately after adoption, Republican-led states and fossil fuel producers filed petitions in multiple circuits challenging the SEC’s authority.²⁹⁹ The Fifth Circuit issued an administrative stay on 15 March 2024, before the rule took effect. The SEC then issued its own voluntary stay on 4 April 2024

²⁹⁵ Press Release, Securities and Exchange Commission, SEC Adopts Rules to Enhance and Standardize Climate-Related Disclosures for Investors (Mar. 6, 2024), <https://www.sec.gov/newsroom/press-releases/2024-31> (last visited Dec. 28, 2024).

²⁹⁶ Deloitte, *Executive Summary of the SEC’s Landmark Climate Disclosure Rule*, Dart (Apr. 8, 2024), <https://dart.deloitte.com/USDART/home/publications/deloitte/heads-up/2024/sec-climate-disclosure-requirements-ghg-emissions-executive-summary> (last visited Jan. 1, 2025).

²⁹⁷ EY, *SEC’s Rules to Standardize Climate-Related Disclosures*, EY (2024), https://www.ey.com/en_us/insights/assurance/sec-s-rules-to-standardize-climate-related-disclosures (last visited Jan. 2, 2025).

²⁹⁸ Harvard Law School Forum, *Key Implications of SEC’s Climate-Related Disclosure Rules*, Harv. L. Sch. F. on Corp. Governance (Apr. 1, 2024), <https://corpgov.law.harvard.edu/2024/04/01/key-implications-of-secs-climate-related-disclosure-rules> (last visited Jan. 12, 2025).

²⁹⁹ *Iowa v. SEC*, No. 24-1522 (8th Cir. filed Mar. 15, 2024) (State challenges to SEC climate rules).

pending judicial review.³⁰⁰ The litigation was subsequently consolidated in the Eighth Circuit and remained paused there.³⁰¹ In March 2025, under a new administration, the SEC withdrew its legal defense of the climate rules. Acting Chair Mark Uyeda called them “costly and unnecessarily intrusive”.³⁰²

The rules remain on the books. But they are not being implemented and their future is uncertain. That stands in sharp contrast to the EU’s binding directives and shows how vulnerable U.S. regulatory action is to political change and judicial doctrines hostile to administrative agencies.

The US experience exposes a structural problem: when anti-greenwashing enforcement depends on agency discretion rather than statutory obligations embedded in corporate law, a change in administration can switch it off. Put simply, the SEC rules gave regulators *power* to act, but they did not create stable corporate *duties* and that made the framework fragile. India’s framework has a similar weakness. SEBI’s BRSR requirements are based on circulars, not statute and they have already been diluted through timeline extensions.

4.3.2 FTC GREEN GUIDES: ENFORCEMENT WITHOUT BINDING FORCE

With federal securities regulation effectively frozen, much of the practical enforcement work in the United States falls to the Federal Trade Commission. The FTC’s Green Guides, first issued in 1992 and revised in 2012, remain non-binding guidance. They address how companies should substantiate environmental claims to avoid deceptive practices under Section 5 of the FTC Act. The Guides address claims

³⁰⁰ KPMG, *SEC Stays Its Climate Rule Pending Judicial Review*, KPMG (2024), <https://kpmg.com/us/en/frv/reference-library/2024/sec-stays-its-climate-rule-pending-judicial-review.html> (last visited Jan. 13, 2025).

³⁰¹ DLA Piper, *Eighth Circuit Indefinitely Pauses SEC Climate Rule Litigation*, DLA Piper (2024), <https://www.dlapiper.com> (last visited Jan. 15, 2025).

³⁰² Sidley Austin, *SEC Ends Defense of Climate-Related Disclosure Rules*, Sidley Austin (Apr. 1, 2025), <https://www.sidley.com/en/insights/newsupdates/2025/04/sec-ends-defense-of-climate-related-disclosure-rules> (last visited Aug. 4, 2025).

regarding biodegradability, compostability, recyclability, carbon offsets and renewable energy, and require adequate and proper substantiation before marketing.³⁰³

Enforcement Surge Post-2021. From 2021 to 2023, the FTC continued to bring Green Guides-related enforcement and the remedial approach also became stronger.³⁰⁴ In 2022, Walmart and Kohl's agreed to pay \$3 million and \$2.5 million respectively for falsely marketing rayon products as "100% bamboo" and "eco-friendly".³⁰⁵ These were the largest FTC greenwashing penalties to date.³⁰⁶ The settlements also imposed detailed restrictions on future environmental claims. Both retailers were required to hold scientific evidence before making biodegradable, compostable, or other environmental claims and ongoing monitoring was required.³⁰⁷

Subsequent cases targeted companies making unsubstantiated carbon-neutral claims, renewable energy representations unsupported by power purchase agreements and inflated recyclability percentages.³⁰⁸

Limitations and Stasis. The FTC has not formally updated the Green Guides since 2012, even though it began the update process in late 2022.³⁰⁹ This delay stems partly

³⁰³ *FTC Green Guides*, FED. TRADE COMM'N, <https://www.ftc.gov/news-events/topics/truth-advertising/green-guides> (last visited Jan. 26, 2025).

³⁰⁴ Federal Trade Commission, *Green Guides*, <https://www.ftc.gov/news-events/topics/truth-advertising/green-guides> (last visited Feb. 10, 2025); *see also* Federal Trade Commission, *Legal Library: Cases and Proceedings* (Environmental Marketing filter), https://www.ftc.gov/legal-library/browse/cases-proceedings?field_consumer_protection_topics=1408&field_mission%5B29%5D=29&sort_by=field_date (last visited Feb. 10, 2025).

³⁰⁵ Peters & Peters, *FTC Sues Kohl's and Walmart*, Peters & Peters (2022), <https://www.petersandpeters.com> (last visited Feb. 14, 2025).

³⁰⁶ Press Release, Fed. Trade Comm'n, *FTC Enforcement Action Targets Deceptive Green Marketing in Bamboo Textiles* (Apr. 8, 2022), <https://www.ftc.gov/news-events/news/press-releases/2022/04/ftc-uses-penalty-offense-authority-seek-largest-ever-civil-penalties-deceptive-marketing-rayon-textiles> (last visited Feb. 19, 2025).

³⁰⁷ *United States v. Walmart Inc.*, No. 1:22-cv-00965 (D.D.C. Apr. 8, 2022).

³⁰⁸ Clark Hill, *Cracking Down on Deceptive Green Marketing Claims: Recent Developments in the US and EU*, Clark Hill (2024), <https://www.clarkhill.com/news-events/news/cracking-down-on-deceptive-green-marketing-claims-recent-developments-in-the-us-and-eu> (last visited Feb. 22, 2025).

³⁰⁹ *FTC Green Guides: Announcement of Review*, 87 Fed. Reg. 77766 (Dec. 20, 2022).

from administrative procedure requirements and partly from political reluctance across successive administrations. Because the Green Guides are non-binding, FTC enforcement still depends on proving that claims are “unfair or deceptive” under Section 5. That is a higher burden than in directive-based regimes where simple failure to substantiate may be enough. The FTC can also impose penalties only for repeat violations in some circumstances, which weakens deterrence for first-time violators.³¹⁰

4.3.3 PRIVATE LITIGATION: EMERGING GREENWASHING CLAIMS

U.S. courts have shown greater willingness to recognize greenwashing claims under existing consumer protection statutes. A January 2025 class action against Procter & Gamble over Charmin toilet paper alleged that P&G falsely claimed FSC certification and sustainable sourcing while sourcing from Canadian boreal forests through clear-cutting practices inconsistent with its “Keep Forests as Forests” branding.³¹¹ The complaint cites violations of the FTC Green Guides and seeks damages, injunctive relief and restitution. Although the case is still at an early stage, such suits suggest that investors and consumers now see litigation as a viable route for greenwashing enforcement. That matters where agency action is weak.

4.4 THE UNITED KINGDOM: PRESCRIPTIVE RULE WITH UNCERTAIN ENFORCEMENT TRAJECTORY

The United Kingdom does not rely on a single statute or regulator to tackle greenwashing. Instead, it has built a layered system in which financial regulation, competition enforcement and corporate governance duties each play a distinct role and the different regulators coordinate their efforts in practice.

³¹⁰ Clark Hill, *Cracking Down on Deceptive Green Marketing Claims*, Clark Hill (2024), <https://www.clarkhill.com/news-events/news/cracking-down-on-deceptive-green-marketing-claims-recent-developments-in-the-us-and-eu> (last visited Feb. 26, 2025).

³¹¹ Gonzalo E. Mon & Katherine Rogers, *P&G Accused of Greenwashing and Creating ‘Frankenforests’*, Kelley Drye (Feb. 3, 2025), <https://www.kelleydrye.com/viewpoints/blogs/ad-law-access/p-g-accused-of-greenwashing-and-creating-frankenforests> (last visited Mar. 8, 2025).

4.4.1 THE FCA ANTI-GREENWASHING RULE (MAY 2024)

The UK Financial Conduct Authority’s anti-greenwashing rule (ESG 4.3.1R) took effect on 31 May 2024.³¹² It applies to all FCA-authorized firms making sustainability-related claims about products or services.³¹³ The rule requires claims be:

- Fair, clear and not misleading
- Substantiated with reliable evidence
- Complete (not omitting material lifecycle information)
- Comparable only against genuinely similar products

Accompanying FG24/3 guidance clarifies that firms must ensure ongoing compliance throughout a product’s life, not one-off initial substantiation and that the rule covers both environmental and social claims (“greenwashing” and “social-washing”).³¹⁴

The FCA explicitly stated that the AGR “complements and is consistent with” existing COBS rules requiring fair, clear and non-misleading communication.³¹⁵ In other words, the UK does not rely on a single rule. Firms can be sanctioned for breaches of the AGR itself, the COBS framework, the Consumer Duty, which emphasizes fair

³¹² Hogan Lovells, *The UK FCA’s anti-greenwashing rule: ignore it at your peril*, Hogan Lovells (July 23, 2024), <https://www.hoganlovells.com/en/publications/the-uk-fcas-anti-greenwashing-rule-ignore-it-at-your-peril> (last visited Mar. 11, 2025).

³¹³ Dechert LLP, *FCA’s Anti-Greenwashing Rule and Related Guidance – A Summary*, Dechert OnPoint (May 10, 2024), <https://www.dechert.com/knowledge/onpoint/2024/5/fca-s-anti-greenwashing-rule-and-related-guidance—a-summary.html> (last visited Mar. 13, 2025).

³¹⁴ Fin. Conduct Auth., *Finalised Guidance FG24/3: Guidance on the Anti-Greenwashing Rule (2024)*, <https://www.fca.org.uk/publications/finalised-guidance/fg24-3-finalised-non-handbook-guidance-anti-greenwashing-rule> (last visited Mar. 14, 2025).

³¹⁵ Morgan Lewis, *UK Financial Conduct Authority Adopts New Anti-Greenwashing Rule*, Morgan Lewis (2024), <https://www.morganlewis.com/pubs/2024/08/uk-financial-conduct-authority-adopts-new-anti-greenwashing-rule-and-guidance> (last visited Mar. 22, 2025).

treatment and good outcomes and, in cases of knowing or reckless misconduct, the criminal provisions of the Financial Services Act 2012.³¹⁶

Enforcement Posture. The FCA signaled that it will “have little patience” for greenwashing given the delayed implementation window.³¹⁷ Typical UK regulatory enforcement cycles take 2 to 3 years from detection to public outcome. So there are not yet any published FCA enforcement conclusions citing the AGR. But supervisory engagement is expected to intensify through 2025-2026.

4.4.2 COMPETITION AND MARKETS AUTHORITY (CMA) POWERS

The FCA’s remit covers financial services firms. For the wider consumer market, enforcement against misleading green claims falls to the Competition and Markets Authority. Under the Digital Markets, Competition and Consumers Act (DMCCA), enacted in 2024, the CMA gained direct authority to impose turnover-based monetary penalties for breaches of consumer law, including greenwashing misconduct.³¹⁸ That is a major expansion. Previously, the CMA had to seek court orders to impose fines. The new power should materially increase deterrence.

The CMA has already issued guidance reaffirming its interpretation of misleading environmental claims under the Consumer Protection from Unfair Trading Regulations, noting particular concern over vague claims, missing lifecycle information and unverified third-party certifications.³¹⁹ The CMA has demonstrated a sector-specific focus, particularly on the fashion industry, issuing guidance in September 2024 targeting misleading buzzwords like “conscious” or “sustainable”

³¹⁶ Kingsley Napley, *FCA’s Anti-Greenwashing Rule Takes Effect*, Kingsley Napley (2024), <https://www.kingsleynapley.co.uk/insights/blogs/criminal-law-blog/fcas-anti-greenwashing-rule-takes-effect-what-it-means-for-compliance-and-esg-accountability> (last visited Mar. 23, 2025).

³¹⁷ *FCA’s Anti-Greenwashing Rule: Impact Analysis and Supervisory Expectations*, Saul Ewing LLP (May 10, 2024).

³¹⁸ Digital Markets, Competition and Consumers Act 2024, pt. 3, ch. 4 (UK) (creating direct CMA enforcement powers and turnover-based monetary penalties for consumer-law infringements).

³¹⁹ Competition & Mkts. Auth., *Green Claims Code: Making Environmental Claims* (2021) (UK).

and requiring apparel manufacturers to be responsible for the entire lifespan of their products.³²⁰

4.4.3 THE UK GREEN CLAIMS CODE

The UK's primary tool is the Green Claims Code, which emphasizes six principles: claims must be truthful, clear, substantiated, consider the full life cycle and make fair comparisons.³²¹ Comparative analysis treats the Code as an important bridge between self-regulation and public enforcement.³²² While principles-based rather than prescriptive, the Code provides a framework for both self-regulation and CMA enforcement.

The UK's layered approach combines financial regulation (FCA), competition enforcement (CMA) and fiduciary duties (Companies Act section 172), creating multiple paths for holding companies and directors to account. It also operates as a coordinated system in practice, not just as a stack of formal powers on paper. The FCA and CMA have aligned their approaches to ESG and sustainable investment through shared enforcement priorities and cross-referenced guidance. For example, the FCA has said it will consider the CMA's *Green Agreements Guidance* (October 2023) when exercising its concurrent competition powers within financial services.³²³

³²⁰ Sonja Hoffmann, Yann Utzschneider, Spencer Beall & Janina Moutia-Bloom, *Greenwashing Risk and the Fashion Industry: A Snapshot of Legal Developments*, White & Case (June 13, 2025), <https://www.whitecase.com/insight-our-thinking/greenwashing-risk-and-fashion-industry-snapshot-legal-developments> (last visited Oct. 17, 2025).

³²¹ Competition & Mkts. Auth., *Green Claims Code: Making Environmental Claims* (2021) (UK).

³²² Giuseppe Labbozzetta, *The Era of Environmental Transparency: Comparative Analysis of Green Claims/Greenwashing Regulations in the European Union, United Kingdom, and United States (2024–2026)*, 19 Int'l In-House Counsel J. (Sept. 2025), <https://www.iicj.net/paper/3785> (last visited Dec. 20, 2025).

³²³ Competition & Mkts. Auth., *Green Agreements Guidance: Guidance on the Application of Competition Law to Sustainability Agreements* (Oct. 2023) (UK), <https://www.gov.uk/government/publications/green-agreements-guidance/green-agreements-guidance> (last visited Apr. 3, 2025); see also Fin. Conduct Auth., *CP23/16: Sustainability Disclosure Requirements (SDR) and Investment Labels* (2023) (noting the FCA's intention to have regard for the CMA's Green Agreements Guidance in exercising its concurrent competition powers within financial services).

That coordination helps the framework operate as an integrated system rather than as parallel silos.

This multi-layered, coordinated structure stands in sharp contrast to India, where section 166(2) of the Companies Act imposes a duty on directors to act in the interest of the environment, but no regulator monitors compliance and no enforcement action has ever been brought under this provision. India has no equivalent of the FCA-CMA coordination: SEBI, CCPA and MCA operate as parallel regulators with no formal mechanism for joint enforcement of environmental claims. The absence of operational coordination, rather than merely the absence of individual regulatory powers, is the deeper structural gap.

4.5 CANADA: LEGISLATIVE INNOVATION WITH IMPLEMENTATION AMBIGUITY

Canada has taken a different path from both the EU’s directive-based system and the UK’s multi-regulator layering. Its approach centres on amending existing competition law to create greenwashing-specific rules and it has introduced a notable innovation: allowing private parties, not just government agencies, to challenge misleading environmental claims directly.

4.5.1 BILL C-59 AMENDMENTS TO THE COMPETITION ACT (JUNE 2024)

Canada took a distinctive approach by explicitly amending the Competition Act to establish greenwashing-specific standards. Environmental claims must be:

- For product claims: Based on “adequate and proper test”
- For business activity claims: Based on “adequate and proper substantiation in accordance with internationally recognized methodology”³²⁴

The amendments introduced private enforcement: businesses and consumers may now bring competition tribunal actions challenging companies’ environmental claims as

³²⁴ Charlie Martin, *The Greenwashing Regulatory Landscape in North America in 2025*, Antigreenwash Charter (Jan. 2025), <https://antigreenwashcharter.org/the-greenwashing-regulatory-landscape-in-north-america-in-2025> (last visited Apr. 10, 2025).

greenwashing, with the tribunal assessing whether the claim serves the “public interest”. This private right of action is unprecedented among major jurisdictions and significantly lowers barriers to enforcement compared to agency-dependent regimes.³²⁵

4.5.2 COMPETITION BUREAU GUIDELINES (JUNE 2025)

The Competition Bureau released its final greenwashing guidelines one year after the amendments, acknowledging that Canadian courts have not yet interpreted key statutory concepts (“adequate and proper”, “internationally recognized methodology”).³²⁶ The Bureau clarified that:

- “Internationally recognized methodology” will generally mean a methodology recognized in two or more countries
- Companies need not prove claims are not false; they must substantiate claims affirmatively
- A “due diligence defense” is available if a company took reasonable steps to prevent deceptive marketing

Implementation Uncertainty. Some Canadian businesses have reportedly removed or revised environmental claims out of caution. This phenomenon is called “Greenhushing”.³²⁷ Firms are going quiet because they do not yet know how courts will interpret the new provisions. The chilling effect may therefore extend beyond formal enforcement and reshape disclosure behaviour itself.

³²⁵ *Canada: Navigating the Evolving Anti-Greenwashing Landscape*, Nomos (Sept. 2024), <https://www.nomos-elibrary.de/index.php?doi=10.5771/1619-2427-2024-23-1-1> (last visited Apr. 21, 2025).

³²⁶ Norton Rose Fulbright, *Competition Bureau releases final guideline on “Environmental claims and the Competition Act”*, Norton Rose Fulbright (June 2025) (last visited Oct. 3, 2025), <https://www.nortonrosefulbright.com/en/knowledge/publications/7103dcd2/competition-bureau-releases-final-guideline-on-environmental-claims-and-the-competition-act>.

³²⁷ *Greenhushing in Canada: The Chilling Effect of Bill C-59*, Globe & Mail (July 15, 2025), <https://www.theglobeandmail.com/business/article-canada-anti-greenwashing-law-greenhushing> (last visited Dec. 16, 2025).

Implications for India. Canada’s private right of action under the Competition Act is instructive for India, where no equivalent mechanism exists. The Consumer Protection Act, 2019 permits individual complaints but does not provide for private enforcement actions specifically aimed at misleading environmental claims. The Canadian framework shows that private enforcement can extend the enforcement frontier in resource-constrained settings. This matters directly to India, where the CCPA has limited capacity for proactive greenwashing surveillance. The “greenhushing” seen in Canada also warns India of a future risk: if substantiation standards are too broad or too vague, firms may respond with silence rather than better disclosure.

4.6 AUSTRALIA: ASIC-LED SURVEILLANCE WITH MANDATORY REGIME IN PREPARATION

Australia’s response to greenwashing has been driven largely by its securities regulator, ASIC, which has been unusually aggressive in pursuing enforcement actions even before a comprehensive statutory framework is fully in place. The country is now building a broader mandatory disclosure regime to put that enforcement on firmer legislative ground.

4.6.1 ASIC’S GREENWASHING INTERVENTIONS (2023-2024)

The Australian Securities and Investment Commission (ASIC) has pursued an aggressive greenwashing enforcement posture. During the 15-month period ending 30 June 2024, ASIC made 47 regulatory interventions.³²⁸ These included:

- 37 corrective disclosure outcomes
- 8 infringement notices totaling \$123,000+
- 2 Federal Court civil penalty proceedings initiated
- 1 concluded proceeding against Mercer Superannuation resulting in an \$11.3 million penalty for misleading ESG fund disclosures

³²⁸ Australian Securities & Investments Commission, *ASIC’s interventions on greenwashing misconduct: 2023–2024*, REP 791 (Aug. 2024) (Austl.).

Key areas of concern identified: insufficient disclosure of ESG investment screening methodologies, underlying investments inconsistent with stated ESG criteria and sustainability claims lacking reasonable grounds or sufficient detail.

4.6.2 MANDATORY CLIMATE REPORTING REGIME (IN PREPARATION)

In 2024, Australia adopted legislation to phase in mandatory climate-related disclosures for large listed and unlisted entities and financial institutions from 1 January 2025.³²⁹ The regime centres on climate risks, governance, strategy and targets and expands in stages across reporting entities.

Implications for India. Australia's main lesson is coordination. ASIC's success reflects not only aggressive enforcement but also close coordination with the ACCC (Australian Competition and Consumer Commission). Both regulators treated greenwashing as a joint enforcement priority for 2024 and they operate under a general Memorandum of Understanding that allows information-sharing, joint inquiries and coordinated investigations.³³⁰ A company making misleading ESG claims to investors (ASIC's domain) and to consumers (ACCC's domain) can therefore face scrutiny from both regulators at once. India has nothing comparable: SEBI, CCPA and MCA operate in silos, with no formal information-sharing protocol for environmental claims. The OECD's *Regulatory Enforcement and Inspections Toolkit* (2018) and its work on *Managing Environmental Compliance Assurance in Decentralised Governance Systems* (2020) identify inter-agency coordination as a minimum

³²⁹ Commonwealth Treasury, *New laws to strengthen financial system and boost investment in cleaner, cheaper energy pass the Senate* (Media Release, Aug. 22, 2024), <https://ministers.treasury.gov.au/ministers/jim-chalmers-2022/media-releases/new-laws-strengthen-financial-system-and-boost> (last visited May 5, 2025); see also Australian Treasury, *Climate-related financial disclosure: exposure draft legislation*, <https://treasury.gov.au/consultation/c2024-466491> (last visited May 5, 2025).

³³⁰ Australian Securities & Investments Commission & Australian Competition & Consumer Commission, *Memorandum of Understanding Between ASIC and the ACCC* (2019; updated 2023) (Austl.), <https://asic.gov.au/about-asic/what-we-do/our-role/other-regulators-and-protocols/memoranda-of-understanding> (last visited May 11, 2025); see also ACCC, *Compliance and Enforcement Policy and Priorities 2024-25* (2024) (Austl.) (designating ESG and sustainability claims as a priority enforcement area).

governance requirement. India still falls short of that baseline.³³¹ Australia's penalty architecture sharpens the contrast even further: the greater of AUD \$50 million, three times the benefit obtained, or 30% of turnover during the breach period. The formula is designed to make greenwashing unprofitable at any scale.

4.7 DEVELOPING COUNTRY FRAMEWORKS: HETEROGENEOUS MATURITY

The developing-country picture is uneven, but the direction is increasingly clear. Several jurisdictions are moving beyond general false-advertising law toward targeted anti-greenwashing rules, and some are attaching stronger sanctions, including criminal liability.

4.7.1 LATIN AMERICA: EMERGING STRINGENCY

Latin American countries have traditionally relied on general consumer law to address misleading advertising. Recent legislative proposals, however, suggest a move toward the EU's more prescriptive model.

Brazil: Self-Regulation and Mandatory Proof. Brazil does not have a specific greenwashing law.³³² But its Consumer Protection Code prohibits deceptive advertising and the Federal Public Prosecutor's Office, consumer defense agencies and National Consumer Secretariat may investigate such claims.³³³ The CONAR (Advertising Self-Regulatory Council), established in 2011, had applied greenwashing rules in about 100 cases by 2024. CONAR's recent updates to its

³³¹ Organisation for Economic Co-operation and Development, *OECD Regulatory Enforcement and Inspections Toolkit* (2018), https://www.oecd.org/en/publications/oecd-regulatory-enforcement-and-inspections-toolkit_9789264303959-en.html (last visited Sep. 9, 2024); *see also* Organisation for Economic Co-operation and Development, *Managing Environmental Compliance Assurance in Decentralised Governance Systems* (2020), https://www.oecd.org/en/publications/managing-environmental-compliance-assurance-in-decentralised-governance-systems_f0564cb3-en.html (last visited May 20, 2025) (identifying inter-agency coordination as a minimum governance requirement for environmental compliance assurance).

³³² *Brazil: CMS Green Globe on Environmental Marketing*, CMS Law (2025), <https://cms.law/en/int/publication/cms-green-globe/brazil> (last visited June 2, 2025).

³³³ *Greenwashing in Latin America: A Comparative Guide*, Baker McKenzie (2024), <https://www.bakermckenzie.com/-/media/files/insight/guides/2023/greenwashing-in-latin-america.pdf> (last visited June 5, 2025).

Advertising Self-Regulation Code (Annex U), effective in late 2025, make “proof of environmental claims mandatory”. Any sustainability statement must be supported by technical documentation or recognized certification.³³⁴ Under Brazil’s broader Consumer Law, breaches can lead to fines and imprisonment of up to one year for the entity sponsoring or creating the advertisement. In 2022, one administrative proceeding resulted in a fine exceeding R\$ 12 million (~€2.3 million) against a single company for violating ESG advertising standards.³³⁵

Proposed Legislation. Bill 2838/22, pending in the House of Representatives, seeks to establish a national taxonomy of economic activities and prevent greenwashing through mandatory ESG disclosures with enhanced penalties.³³⁶ The CVM (Brazilian Securities Commission) issued Resolution 59/2021 requiring ESG metrics in stock exchange filings under a “comply or explain” framework.³³⁷

Mexico: The Move toward Criminalization. Mexico is currently considering a landmark bill that would amend the Federal Criminal Code to include “greenwashing” as a specific environmental crime.³³⁸ The bill defines greenwashing as providing “false or simulated information on environmental or sustainability performance for benefit or profit”. If passed, it would increase prison terms for environmental crimes to 2 to 10 years. It would also extend corporate criminal liability to legal entities for all environmental offenses and require prosecutors to investigate “failures in

³³⁴ *Brazil: CONAR Announces New Rules to Combat Greenwashing*, Global Compliance News (Nov. 27, 2025), https://www.globalcompliance.news.com/2025/11/27/https-insightplus-bakermckenzie-com-bm-consumer-goods-retail_1-brazil-conar-announces-new-rules-to-combat-greenwashing_11182025 (last visited Dec. 28, 2025).

³³⁵ *Greenwashing in Latin America: A Comparative Guide*, Baker McKenzie (2024), <https://www.bakermckenzie.com/-/media/files/insight/guides/2023/greenwashing-in-latin-america.pdf> (last visited June 5, 2025).

³³⁶ *Data Monitor: Brazil’s Corporate Greenwashing Stalls Climate Progress*, CAAD (Apr. 2025), <https://caad.info/analysis/newsletters/data-monitor-april-2025-brazils-corporate-greenwashing-stalls-climate-progress> (last visited June 11, 2025).

³³⁷ CVM Resolution No. 59, of December 22, 2021, Official Gazette of the Union [D.O.U.] of December 23, 2021 (Brazil).

³³⁸ *Mexico Tightens Environmental Corporate Crimes*, Hogan Lovells (2024), <https://www.hoganlovells.com/en/publications/mexico-tightens-environmental-corporate-crimes> (last visited June 22, 2025).

organizational due control”, thereby creating a legal expectation that companies maintain robust ESG compliance systems.

Chile: The Bill and the Burden of Proof. Chile’s proposed greenwashing bill goes beyond merely treating the practice as misleading advertising.³³⁹ It shifts the burden of proof from the complainant to the company. In court, the business would have to prove that its claims are true. The bill proposes fines of up to USD 640,000 and a ban on sustainability-related advertising for one to five years for companies convicted of environmental damage.

Table 4.2: Emerging Anti-Greenwashing Models in Developing Jurisdictions

Developing Jurisdiction	Regulatory Mechanism	Key Innovation/Requirement	Potential Penalty
Brazil	CONAR Annex U	Mandatory pre-substantiation with technical docs	Fines; up to 1 year imprisonment
Mexico	Proposed Criminal Code Amdt	Criminalization of “simulated” ESG disclosures	2 to 10 years imprisonment
Chile	Proposed Greenwashing Bill	Shift in burden of proof to the company	Fines up to USD 640k; Advertising bans
Colombia	Decree 1369/2014	Verification of environmental advertising	Fines under Consumer Law

³³⁹ *Greenwashing in Chile: Chile v. USA, EU and Brazil*, Clyde & Co (Apr. 2025), <https://www.clydeco.com/en/insights/2025/04/greenwashing-in-chile-chile-v-usa-eu-and-brazil> (last visited June 24, 2025).

4.7.2 SOUTHEAST ASIA: TAXONOMIES AND REGIONAL CONVERGENCE

The ASEAN region has recognized a core problem: “fragmentation in standards” is a major driver of greenwashing risk. The ASEAN Taxonomy for Sustainable Finance is intended to provide a common language for sustainable economic activities.

ASEAN Taxonomy and Member State Variations. The ASEAN Taxonomy uses a “multi-tiered assessment approach” to distinguish what is green from what is not. It adopts a “traffic light” system: Green (activities that contribute substantially to environmental objectives), Amber (transition activities with a clear pathway) and Red (activities that do not align with environmental objectives or cause significant harm).³⁴⁰

At the national level, member states like Singapore and Malaysia have been proactive. Singapore’s Consumer Protection (Fair Trading) Act (CPFTA) is interpreted broadly to capture greenwashing, with the Monetary Authority of Singapore (MAS) able to impose fines of up to S\$250,000 or seven years’ imprisonment for false environmental claims that influence securities transactions.³⁴¹ In October 2025, Singapore’s Competition and Consumer Commission (CCS) released anti-greenwashing guidance outlining five principles for substantiated claims, complementing regulatory enforcement.

Indonesia and Malaysia lack dedicated greenwashing legislation. Indonesia addresses false advertising under consumer protection law and broadcasting law, but implementation gaps and weak enforcement capacity constrain effectiveness. Malaysia’s Malaysian Code of Advertising Practice (Part 11 on Environmental Claims) provides self-regulatory standards requiring substantiation and lifecycle

³⁴⁰ Han Wang, Feng Hu & Laura Canas da Costa, *Sustainable Finance Taxonomies in ASEAN: Towards Regional Harmonization* (United Nations Environment Programme Finance Initiative, Mar. 2025), <https://www.unepfi.org/wordpress/wp-content/uploads/2025/03/Sustainable-Finance-Taxonomies-in-ASEAN-Towards-Regional-Harmonization.pdf> (last visited June 25, 2025).

³⁴¹ Rajah & Tann Asia, *Managing Greenwashing Risks: A Southeast Asian Lens* (May 26, 2023), <https://www.rajahtannasia.com/viewpoints/managing-greenwashing-risks-a-southeast-asian-lens> (last visited June 26, 2025).

assessment, but relies on voluntary ASAM (Advertising Standards Malaysia) oversight without mandatory third-party verification.

4.7.3 AFRICA: SOUTH AFRICA’S INTEGRATED GOVERNANCE

Among African jurisdictions, South Africa has the most developed framework for addressing greenwashing, though it too relies primarily on general consumer protection law rather than dedicated greenwashing legislation. The country uses the Consumer Protection Act (CPA) and the Advertising Regulatory Board (ARB) as its main tools.³⁴² The CPA does not mention greenwashing specifically, but Section 29 prohibits marketing that is “false, misleading, or deceptive” and Section 22 requires information to be in “plain and understandable language”.³⁴³

The ARB has taken a strict stance, ruling against major international brands for misleading environmental claims.³⁴⁴ For example, it ruled against Ryanair for claiming to be “Europe’s lowest-emission airline” without the necessary scientific substantiation. South Africa’s King IV Code on Corporate Governance also requires boards to take “ultimate responsibility” for an integrated ESG strategy, linking sustainability oversight to the directors’ statutory duty of care under the Companies Act.³⁴⁵

4.7.4 INDIA: PREVIEW

India occupies a distinctive position among developing economies. It has more developed regulatory infrastructure than most jurisdictions surveyed in this section

³⁴² A. Msimang & C. Tucker, *South Africa: Developments in the Regulation of Green Claims and Greenwashing*, Bowmans (Nov. 27, 2023), <https://bowmanslaw.com/insights/south-africa-developments-in-the-regulation-of-green-claims-and-greenwashing> (last visited July 2, 2025).

³⁴³ *Sustainability and the Consumer Protection Act: Addressing greenwashing in South African consumer law*, De Rebus, <https://www.derebus.org.za/sustainability-and-the-consumer-protection-act-addressing-greenwashing-in-south-african-consumer-law> (last visited July 7, 2025).

³⁴⁴ *Greenwashing and the role of the Advertising Regulatory Board in South Africa*, Webber Wentzel, <https://www.webberwentzel.com/News/Pages/greenwashing-and-the-role-of-the-advertising-regulatory-board-in-south-africa.aspx> (last visited July 8, 2025).

³⁴⁵ Inst. of Directors in S. Afr., *King IV Report on Corporate Governance for South Africa 2016* (2016), https://cdn.ymaws.com/www.iodsa.co.za/resource/collection/684B68A7-B768-465C-8214-E3A007F15A5A/IoDSA_King_IV_Report_-_WebVersion.pdf (last visited July 16, 2025).

(SEBI, CCPA, MCA, NGT, FSSAI, BIS), but it shares the enforcement-capacity constraints and complaint-driven model common in many developing jurisdictions. Unlike Brazil's CONAR or Singapore's MAS, no Indian regulator has yet imposed a significant financial penalty specifically for greenwashing. India's mandatory CSR regime under Section 135 of the Companies Act is unique among developing economies, but it deals with spending rather than disclosure accuracy.

The detailed analysis of India's framework is the subject of Chapter 5, which will test India's regulatory architecture against the five design elements identified in this chapter's synthesis (Section 4.9). Four aspects merit preview here.

First, the institutional response to reform proposals is revealing. The Parliamentary Standing Committee on Finance's *Tenth Report on MCA Demands for Grants (2025–26)*, tabled in the Lok Sabha on 19 March 2025, recommended five specific reforms: a dedicated ESG oversight body within MCA; amendment of the Companies Act to incorporate ESG into Section 166 fiduciary duties with turnover-based penalties and criminal sanctions; penalties for greenwashing; sector-specific ESG guidelines; and independent ESG committees.³⁴⁶ MCA rejected all five recommendations and described existing mechanisms as sufficient. The Standing Committee, in turn, described MCA's response as “fundamentally defensive” and a “mere recapitulation of the status quo”. This resistance contrasts sharply with the more proactive posture seen in the EU, UK and Australia.

Second, SEBI's recent trajectory suggests regulatory backsliding rather than progress. Three successive circulars diluted the BRSR framework's assurance and disclosure requirements: Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2024/146 (December 2024) introduced industry standards for BRSR Core but replaced “assurance” with the weaker term “assessment or assurance”; Circular No. SEBI/HO/DDHS/DDHS-

³⁴⁶ Parliamentary Standing Committee on Finance, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (Mar. 19, 2025) (India) (recommending a dedicated ESG oversight body within MCA, amendment of the Companies Act to incorporate ESG into Section 166 fiduciary duties with turnover-based penalties and criminal sanctions, greenwashing penalties, sector-specific ESG guidelines, and independent ESG committees; MCA rejected all five recommendations, characterising existing mechanisms as sufficient; the Standing Committee described MCA's response as “fundamentally defensive” and a “mere recapitulation of the status quo”).

RACPOD1/P/CIR/2025/5 (January 2025) formalised “assessment” as an alternative to mandatory reasonable assurance; and Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (March 2025) deferred mandatory value-chain ESG disclosures from FY 2024–25 to FY 2025–26, shifted them from “comply-or-explain” to voluntary and deferred assurance requirements for value-chain disclosures to FY 2026–27.³⁴⁷ The contrast in direction is stark: while the EU is *accelerating* its assurance timeline, India is *decelerating* its own. SEBI Whole Time Member Amarjeet Singh’s acknowledgement at the FICCI ESG Summit (January 2025) that manufacturing, automobile and oil-and-gas companies were making inadequate BRSR disclosures amounts to an institutional admission of the very problem these circulars fail to address.

Third, India is building taxonomy and green-finance infrastructure. The Ministry of Finance released a draft Climate Finance Taxonomy in May 2025 and the RBI issued a *Framework for Acceptance of Green Deposits* in April 2023. But without enforcement mechanisms to verify claims made under those frameworks, India risks repeating the same disclosure-without-enforcement pattern seen in Kenya and Colombia.

Fourth, the CCPA’s 2024 *Guidelines for Prevention and Regulation of Greenwashing* and the BRSR framework will be tested against the five design elements in Chapter 5, which examines the specific points where India’s framework falls short of the international standards identified here.

4.8 LANDMARK ENFORCEMENT ACTIONS AND JUDICIAL REASONING

The clearest picture of how anti-greenwashing law operates comes from the cases. Across aviation, banking, automotive and energy, courts have had to decide what

³⁴⁷ SEBI, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2024/146 (Dec. 2024) (introducing industry standards for BRSR Core but replacing “assurance” with the weaker term “assessment or assurance”); *see also* SEBI, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 2025) (formalising “assessment” as an alternative to mandatory reasonable assurance); *see also* SEBI, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 2025) (deferring mandatory value-chain ESG disclosures from FY 2024-25 to FY 2025-26, shifting them from “comply-or-explain” to voluntary, and deferring assurance requirements for value-chain disclosures to FY 2026-27).

counts as a misleading sustainability claim, what kind of substantiation is required and how far existing consumer, securities and tort doctrines can be pushed.

4.8.1 VOLKSWAGEN EMISSIONS SCANDAL: FOUNDATIONAL PRECEDENT

The 2015 Volkswagen “Dieselgate” scandal, in which the company admitted to installing software to falsify emissions tests on 11 million vehicles, resulted in over \$32 billion in global compensation. The English courts, after a preliminary issues trial, concluded that Volkswagen vehicles equipped with the EA189 engine contained prohibited defeat devices. They adopted Germany’s regulatory findings (KBA decisions) and rejected Volkswagen’s appeals.

This litigation established several principles. First, regulatory findings matter: courts relied on German regulatory determinations about the technical characteristics of the emissions software. Second, defeat-device liability extends beyond fraud. Even without proof of intentional deception at the point of sale, courts found liability because the vehicles did not comply with emissions standards. Third, the damages were substantial. Consumer recoveries, though capped in some jurisdictions, still reached billions in the aggregate. The message was clear: the reputational and financial risks are severe.

4.8.2 DAIMLER MERCEDES EMISSIONS SETTLEMENT (2022)

Mercedes-Benz settled emissions-related litigation in multiple jurisdictions, including a U.S. settlement of \$1.5 billion and other European settlements, over similar defeat-device misrepresentations. The company’s initial defense, that its emissions technology complied with the rules and differed from Volkswagen’s, was rejected by courts applying established defeat-device principles. The settlement showed that emissions-related automotive greenwashing was not limited to Volkswagen.

4.8.3 SHELL NETHERLANDS: CORPORATE CLIMATE RESPONSIBILITY (2021)

The Volkswagen and Daimler cases dealt with deception about existing products. The Shell litigation raised a different and harder question: whether a company’s overall

climate strategy can itself be held to legal account. In a landmark 2021 judgment, the District Court of The Hague ordered Shell to reduce its net carbon emissions by 45% by 2030, compared to 2019 levels. The legal basis was Article 6:162 of the Dutch Civil Code, which establishes liability for acts or omissions that violate the “unwritten standard of care” expected in social conduct. The court interpreted this duty of care in light of Articles 2 and 8 of the European Convention on Human Rights (the rights to life and private life) and the Paris Agreement’s climate targets, but the operative legal ground was domestic tort law, not the ECHR itself.³⁴⁸ The court imposed an injunction requiring Shell to affirmatively reduce emissions, not merely to pay damages.

The ruling is significant because it pushed corporate climate accountability beyond disclosure accuracy and into business strategy. Shell’s own published climate commitments mattered here: the court treated the gap between what Shell promised and what it was actually doing as evidence of a breach of care. In the language of decoupling theory, the judgment targeted a classic “policy-practice gap”: companies adopt sustainability commitments to maintain legitimacy while continuing to operate in ways that contradict those commitments.³⁴⁹ In November 2024, the appeals court upheld the principle that Shell owes a duty of care to combat dangerous climate change, though it overturned the specific 45% reduction target on the ground that courts cannot prescribe precise emission reduction numbers for individual companies.³⁵⁰

³⁴⁸ *Milieudefensie et al. v Royal Dutch Shell plc*, Rb. Den Haag, ECLI:NL:RBDHA:2021:5339 (May 26, 2021) (Neth.) (ordering Shell to reduce its net CO₂ emissions by 45% by 2030, on the basis that Shell’s insufficient climate action violated the unwritten standard of care in Article 6:162 of the Dutch Civil Code, interpreted in light of Articles 2 and 8 ECHR, the Paris Agreement, and prevailing climate science); see also Jaap Spier, *The Strongest Climate Ruling Yet: The Dutch Supreme Court’s Urgenda Decision*, 67 *Neth. Int’l L. Rev.* 319 (2020) (analysing the Urgenda precedent upon which the Shell judgment builds).

³⁴⁹ See Neil Crilly, Mikko Zollo & Michael T. Hansen, *The Grammar of Decoupling*, 59 *Acad. Mgmt. J.* 705 (2016) (theorising the mechanisms through which organisations create visible gaps between adopted policies and implemented practices); see also John W. Meyer & Brian Rowan, *Institutionalized Organizations*, 83 *Am. J. Soc.* 340 (1977) (foundational account of how organisations adopt formal structures for legitimacy while decoupling them from operational activities).

³⁵⁰ *Milieudefensie et al. v Royal Dutch Shell plc*, Gerechtshof Den Haag, ECLI:NL:GHDHA:2024:1931 (Nov. 12, 2024) (Neth.) (upholding the principle that Shell owes a duty of care under Dutch tort law to combat dangerous climate change, but overturning the 45% reduction order on the ground that no

4.8.4 FOSSIELVRIJ V. KLM: THE “OVERLY ROSY PICTURE” (2024)

In March 2024, the District Court of Amsterdam ruled that the Dutch airline KLM had violated consumer law by making 15 misleading environmental statements in its “Fly Responsibly” campaign.³⁵¹ This was the first case worldwide to successfully challenge the aviation industry’s sustainability narrative.

The court’s reasoning centered on “unqualified claims”. Three findings stood out:

1. Vague Expressions: Statements suggesting that flying is “becoming sustainable” or that a traveler can “fly CO2ZERO” depict an “overly rosy picture” of the actual environmental impact of aviation.
2. The Offsetting Fallacy: The court ruled that there is no “direct link” between a customer’s financial contribution to a reforestation project and the actual mitigation of the CO2 emitted by their specific flight.
3. Sustainable Aviation Fuel (SAF): Describing alternative fuels as “sustainable” was ruled misleading because SAF’s share of total fuel consumption remains too small to be marketed as a genuine emissions “solution”.

The court concluded that KLM could have “reasonably foreseen” that consumers would be misled by this factually incomplete information.³⁵² It did not impose a specific financial penalty because KLM had already withdrawn the advertisements. But it ordered KLM to pay the costs of the litigation and issued a declaratory judgment that the claims were unlawful. The case set an important international precedent for the aviation sector.

sufficiently unequivocal scientific or legal standard exists to prescribe a specific emission reduction target for an individual company).

³⁵¹ *Fossielvrij NL v. KLM Royal Dutch Airlines*, Rb. Amsterdam, ECLI:NL:RBAMS:2024:1512 (Mar. 20, 2024) (Neth.).

³⁵² *Fossielvrij NL*, ECLI:NL:RBAMS:2024:1512, at ¶ 5.12.

4.8.5 JBS USA: THE NET-ZERO PLAN CHALLENGE (2024)

In early 2024, the New York Attorney General filed a lawsuit against JBS USA. The allegation is that its “Net Zero by 2040” pledge was fraudulent because the company had “no viable plan to meet its commitment”.³⁵³ The complaint highlighted that JBS made the commitment without even calculating the majority of its Scope 3 emissions from its supply chain.

This case illustrates an emerging legal standard: a public “goal” or “pledge” must be backed by an actionable, documented implementation plan. Otherwise, it may be treated as a misleading omission of material fact.³⁵⁴

4.8.6 ASIC V. VANGUARD: THE “GREEN FUND” EXCLUSION

Greenwashing is not limited to manufacturers and energy companies. Financial institutions that market “green” investment products face growing scrutiny as well. In Australia, the Securities and Investments Commission (ASIC) successfully sued Vanguard Investments Australia, resulting in a substantial civil penalty.³⁵⁵ The court found that Vanguard had made misleading statements about a “green” fund that supposedly excluded companies involved in fossil fuels. In fact, the fund held significant fossil-fuel investments. Even financial institutions are subject to rigorous verification of their “ESG screening” methodologies.

4.8.7 ASIC V. MERCER SUPERANNUATION (2024)

ASIC imposed an \$11.3 million civil penalty on Mercer Superannuation (Australia) for making misleading ESG fund disclosures.³⁵⁶ The regulator found that Mercer:

³⁵³ *People of the State of New York v. JBS USA Food Co.*, Index No. 450682/2024 (N.Y. Sup. Ct. Feb. 28, 2024).

³⁵⁴ Alexander B. Simkin & Eileen M. Falk, *Greenwashing Legislation Trends: Key Takeaways for Businesses*, Ropes & Gray (Sept. 2, 2025), <https://www.ropesgray.com/en/insights/viewpoints/10212on/greenwashing-legislation-trends-key-takeaways-for-businesses> (last visited Dec. 12, 2025).

³⁵⁵ *ASIC v. Vanguard*, [2024] FCA 308.

³⁵⁶ Australian Securities & Investments Commission, *ASIC’s interventions on greenwashing misconduct: 2023–2024*, REP 791 (Aug. 2024) (Austl.).

- Failed to disclose that ESG screening processes were not applied to underlying investments
- Made claims regarding ESG investment methodologies without substantiation
- Omitted material information regarding the scope of ESG screening

The penalty shows how financial regulators, once armed with civil-penalty powers, can impose substantial consequences for greenwashing in managed funds, a sector especially vulnerable to misrepresentation because retail investors rely heavily on disclosed ESG criteria.

4.8.8 P&G CHARMIN GREENWASHING CLAIM (2025)

A January 2025 class action against Procter & Gamble alleged that the company falsely marketed Charmin toilet paper as sustainably sourced despite sourcing from Canadian boreal forests via clear-cutting practices. The complaint alleges:

- Misleading use of Forest Stewardship Council (FSC) and Rainforest Alliance logos on packaging when only a fraction of pulp is FSC-certified
- Unsubstantiated “Keep Forests as Forests” and “Protect-Grow-Restore” branding despite sourcing practices inconsistent with forest protection
- Violation of FTC Green Guides prohibitions on unqualified general environmental benefit claims

The suit references FTC guidance, showing how non-binding guidance can still shape litigation standards and how consumer litigation can operate as a greenwashing enforcement mechanism when agency action is weak.

Connection to India. One absence is striking: no Indian court, tribunal, or regulator has produced a comparable ruling or penalty specifically targeting greenwashing. Indian companies make claims of similar ambition, including net-zero pledges, carbon-neutrality assertions and sustainable-sourcing narratives, yet they face none of the scrutiny seen in the Volkswagen, Shell, KLM, JBS, Vanguard and Mercer matters.

As Chapter 5 shows, India currently lacks the mix of legal tools and institutional commitment needed to generate deterrent precedent: there is no greenwashing-specific cause of action and no regulator has made greenwashing an enforcement priority.

4.9 WHAT THE INTERNATIONAL COMPARISON REVEALS

The comparative analysis above is not just descriptive. It isolates the design choices that matter when India's anti-greenwashing architecture is tested in Chapter 5. This section maps the international findings against the five research gaps identified in Chapter 1 (Section 1.4).

CONSOLIDATED COMPARATIVE TABLE

The following table maps all jurisdictions surveyed in this chapter, including India, against the five design elements that distinguish effective anti-greenwashing governance from frameworks that remain largely symbolic. India's column is drawn from the preview in Section 4.7.4 and from the thesis's broader analysis; the detailed examination follows in Chapter 5.

Table 4.3: Comparative Design Elements Across Jurisdictions

Design Element	EU	UK	US	Canada	Australia	Brazil	Singapore	India
Board-level accountability	✓ (CSRD sign-off)	✓ (s.172 + Vedanta)	Partial (scientific barrier)	✗	Partial	✗	✗	✗ (s.166(2) unenforced)
Integrated regulatory	✓ (CSRD + GCD + ECGT)	✓ (FCA + CMA + CA 2006)	✗ (fragmented)	Partial (Comp. Act)	Partial	✗	Partial	✗ (SEBI/CCPA/MCA siloed)

Design Element	EU	UK	US	Canada	Australia	Brazil	Singapore	India
architecture								
Mandatory third-party assurance	✓ (limited → reasonable)	Pending	X	X	Pending	X	Pending	X (deferred)
Forward-looking claim controls	✓ (ECGT offset ban)	Partial	Partial (litigation)	Partial	X	X	X	X
Proportionate penalties	✓ (4% turnover)	✓ (10% global turnover)	X (settlement-based)	Partial	✓ (AUD \$50M / 3× benefit / 30% turnover)	Partial	Partial (S\$250k/7yr)	X (₹1–5 lakh for directors; SEBI avg. ~₹12 lakh/entity)

The penalty row is especially revealing and deserves brief quantitative emphasis. SEBI imposed aggregate penalties of ₹28.2 crore across 239 entities in FY 2024–25, averaging about ₹12 lakh per entity. That figure is commercially insignificant when compared with the EU’s 4% of turnover, the UK’s turnover-based penalties under the DMCCA, or Australia’s penalty formula: the greater of AUD \$50 million, three times the benefit obtained, or 30% of turnover during the breach period. This contrast is discussed further in Section 4.9.5 below.

Each gap can now be taken in turn.

4.9.1 RESEARCH GAP 1: BOARD-LEVEL ACCOUNTABILITY FOR ENVIRONMENTAL CLAIMS

The international evidence is clear: the most effective anti-greenwashing frameworks place responsibility at the governance level, not just at the marketing or compliance level. The EU's CSRD requires board sign-off on sustainability reports. The UK's Companies Act section 172 and the *Vedanta* "assumption of responsibility" doctrine create personal-liability pathways for directors. Australia's ASIC has imposed substantial penalties on funds where ESG screening failures reflect governance deficiencies.

Put simply, these frameworks create legal *duties* owed to investors, consumers, or affected communities. When a director signs a sustainability report, people who rely on that report gain a stronger basis to expect that it is accurate.³⁵⁷

India's position is very different. Section 166(2) of the Companies Act 2013 imposes a duty on directors to act in the interest of the environment, but this provision has never been enforced, no regulator monitors compliance with it and the penalty (a fine of ₹1–5 lakh under section 166(7)) is too small to deter a director of any significant company. The provision creates a *formal duty* without operational *enforceability* and the international evidence suggests that this is a structural weakness. The Parliamentary Standing Committee on Finance recommended amending Section 166 to incorporate ESG into fiduciary duties with turnover-based penalties and criminal sanctions; MCA rejected this recommendation (Section 4.7.4). The consolidated comparative table above shows that India is the only surveyed jurisdiction where a statutory duty to act in the interest of the environment exists but has never produced a single enforcement action.

³⁵⁷ See Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 Yale L.J. 16 (1913) (establishing the analytical framework of jural correlatives and opposites); see also Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited July 18, 2025) (applying Hohfeldian analysis to corporate governance, demonstrating how director duties create correlative claim-rights in those affected by corporate conduct).

4.9.2 RESEARCH GAP 2: REGULATORY FRAGMENTATION AS STRUCTURAL CAUSE

The EU's framework stands out because it integrates three regulatory instruments (CSRD, GCD, ECGT) into a coherent system in which corporate reporting, consumer-facing claims and assurance requirements work together, while the CPC Network's sweep methodology provides cross-border coordination (Section 4.2.4). The UK achieves something similar through the layered but practically coordinated interaction of the FCA, CMA and Companies Act (Section 4.4.3). Canada's Competition Act amendments create a single entry point for challenging greenwashing, with private enforcement added as a complement.

Fragmentation, by contrast, characterises both the US and Indian approaches. In the US, the SEC, FTC and state-level enforcers operate independently, with no coordinating mechanism and frequent policy reversals when administrations change. India's fragmentation is arguably deeper: SEBI handles disclosure, the CCPA handles consumer claims, the MCA oversees corporate law and the NGT handles environmental violations, yet there is no formal mechanism for any of them to coordinate on greenwashing. As noted in the Australia comparison (Section 4.6.2), the OECD identifies inter-agency coordination as a minimum governance requirement. India's regulatory architecture currently fails to meet that standard.

4.9.3 RESEARCH GAP 3: THE VERIFICATION GAP (ASSURANCE MODELS)

The verification gap offers the clearest design lesson. The CSRD's two-tier assurance model, limited assurance from year one and reasonable assurance by 2028, has become a global benchmark. Australia and Singapore are moving in the same direction. Canada, by contrast, leaves verification largely to private litigants, creating a market-driven incentive for assurance.

The variation in assurance standards across jurisdictions (ISO 14064-3 for GHG metrics, ISAE 3000 for broader ESG, AA1000AS for stakeholder accountability)

creates a fragmented global floor. Firms can comply with weaker assurance regimes in some markets while maintaining higher standards in others.

India's BRSR framework initially contemplated mandatory assurance for the BRSR Core subset, but SEBI repeatedly extended timelines through three successive circulars in December 2024, January 2025 and March 2025, gradually weakening the standard from reasonable assurance toward mere "assessment". As of early 2026, no Indian company has been required to obtain independent assurance of sustainability disclosures. The contrast with the EU is stark: the EU is accelerating toward reasonable assurance while India is stepping back from it. That makes the verification gap a widening, not narrowing, problem.

4.9.4 RESEARCH GAP 4: EVOLVING MORPHOLOGY (FUTUREWASHING, OFFSETS)

The JBS and KLM cases demonstrate that courts are increasingly willing to scrutinise forward-looking sustainability claims. The JBS ruling established that a "net-zero pledge" without a documented implementation plan is a misleading omission of material fact. The KLM ruling rejected the premise that carbon offsets can justify "carbon neutral" marketing. The EU's ECGT Directive has codified this by banning claims of environmental neutrality based on offsetting.

These developments address what Chapter 2 identified as the "evolving morphology" of greenwashing: the shift from simple false product claims to forward-looking pledges about corporate strategy ("futurewashing") and misleading reliance on offsets to maintain a veneer of climate action. In terms of decoupling theory, these newer forms of greenwashing reflect a more sophisticated policy-practice gap: companies use ambitious pledges to preserve legitimacy while their actual operations remain largely unchanged.

4.9.5 RESEARCH GAP 5: ENFORCEMENT RECORD ANALYSIS

The enforcement record points to a clear pattern.

Regulatory frameworks cluster into three enforcement models:

Table 4.4: Enforcement Models in Anti-Greenwashing Regulation

Model	Scope	Exemplars	Strength
Consumer Protection Focus	B2C environmental claims on products/services	EU Green Claims Directive, FTC Green Guides, UK CMA, Canada	Addresses mass-market deception; accessible to private litigants
Investor Disclosure	Securities law reporting of material climate risks	EU CSRD, SEC climate rules (stayed), Australia ASIC, Singapore SGX	Protects capital markets; imposes high-cost compliance with assurance
Corporate Accountability	Fiduciary duty and tort liability for inadequate climate strategy	UK derivative actions, Dutch Shell ruling, US greenwashing litigation	Extends liability beyond disclosure to business strategy; highest reputational risk

The most comprehensive frameworks, especially the EU and Canada, operate across multiple levels. Gaps emerge where jurisdictions rely on only one mechanism. The “penalty gap” between jurisdictions is widening:

- EU: Fines of at least 4% of annual turnover plus confiscation of profits
- UK: Turnover-based administrative fines under the DMCC Act
- Australia: The greater of AUD \$50 million, three times the benefit obtained, or 30% of turnover during the breach period
- USA: Settlement-based fines (BNY Mellon penalised by the SEC for false ESG screening claims)
- Mexico: Proposed criminal imprisonment of 2 to 10 years for managers

- India: SEBI imposed aggregate penalties of ₹28.2 crore across 239 entities in FY 2024–25, averaging approximately ₹12 lakh per entity; director penalties under section 166(7) of the Companies Act are capped at ₹1–5 lakh³⁵⁸
- Developing jurisdictions: Often fixed-rate penalties that may be seen as a “cost of doing business”

The Indian penalty data is particularly striking. An average SEBI penalty of ₹12 lakh per entity (approximately USD 12,000 at current rates) is far below the penalties available in the EU, UK and Australian frameworks. For a large listed company, this is not a deterrent but a rounding error. The penalty architecture therefore fails the proportionality test that the comparative evidence identifies as essential for effective anti-greenwashing governance.

4.10 CROSS-JURISDICTIONAL LESSONS AND EMERGING BEST PRACTICES

The jurisdiction-by-jurisdiction analysis and the enforcement record discussed above point toward a set of recurring design choices that separate frameworks which actually work from those that remain largely on paper. This section draws out the main lessons and identifies the practices that effective regimes share.

4.10.1 ASSURANCE AS CREDIBILITY TOOL

Assurance, meaning the independent verification of sustainability data, has become the main institutional response to the verification gap in environmental claims. The EU’s CSRD has set the benchmark by requiring limited assurance from the first reporting wave and moving toward reasonable assurance by October 2028.³⁵⁹ European guidance on limited assurance, likely to interact with the IAASB’s ISSA

³⁵⁸ SEBI, *Annual Report 2024-25* (2025) (India) (reporting aggregate penalties of ₹28.2 crore across 239 entities in FY 2024–25, averaging approximately ₹12 lakh per entity); *see also* Companies Act, 2013, No. 18, § 166(7) (India) (capping director penalties at ₹1–5 lakh for breach of duties under section 166, including the environmental duty under section 166(2)).

³⁵⁹ EFRA, *State of Play as of Q2 2024: Implementation of European Sustainability Reporting Standards (ESRS)* (July 2024).

5000 framework, reinforces that trajectory. Limited assurance is materially stronger than bare self-reporting. It requires analytical procedures, inquiry, testing of controls and underlying data and a formal conclusion that nothing has come to the assurance provider's attention indicating material misstatement.³⁶⁰

Assurance architectures still vary across jurisdictions. ISO 14064-3 remains common for quantitative GHG verification, ISAE 3000 is the dominant framework for broader ESG systems review and AA1000AS continues to be used where stakeholder accountability is given priority. Australia's mandatory climate regime is expected to use limited assurance from the start; Singapore is moving toward phased assurance requirements; Canada's amendments leave assurance levels largely to litigation incentives and Competition Bureau practice; and Brazil's CVM still relies on a "comply or explain" model without a general assurance mandate.

India's trajectory is moving in the opposite direction. SEBI initially signaled mandatory reasonable assurance for the BRSR Core subset, but the December 2024, January 2025 and March 2025 circulars progressively weakened that path by substituting "assessment or assurance" for assurance and by deferring value-chain verification timelines.³⁶¹ The result is an expanding assurance gap: firms operating in stricter markets face external verification, while firms in weaker regimes can continue to rely on lower-cost self-certification. That divergence is not just a technical detail; it is a structural condition that makes greenwashing easier to sustain.

4.10.2 DIRECTOR ACCOUNTABILITY AS GOVERNANCE TOOL

Anti-greenwashing law becomes much stronger once responsibility moves upward from marketing teams to boards and senior management. In the UK, section 172 of

³⁶⁰ *CEAOB Guidelines on Limited Assurance*, European Comm'n (Sept. 2024), https://finance.ec.europa.eu/document/download/8ac2df18-2ae1-4bc7-9d87-a4a740e48f5e_en?filename=240930-ceaob-guidelines-limited-assurance-sustainability-reporting_en.pdf (last visited July 21, 2025) (distinguishing limited assurance, which provides moderate confidence and relies primarily on inquiry and analytical procedures, from more extensive reasonable assurance engagements).

³⁶¹ SEBI, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2024/146 (Dec. 2024); *see also* SEBI, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 2025); *see also* SEBI, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 2025).

the Companies Act, the FCA’s Senior Managers and Certification Regime and the tort-based “assumption of responsibility” doctrine together create real personal exposure for misleading ESG disclosures.³⁶² *Vedanta Resources plc v Lungowe* is especially important because the UK Supreme Court treated the parent company’s own sustainability reports as evidence that it had assumed responsibility for environmental standards across the group.³⁶³ Sustainability reporting can therefore generate legal duties when public commitments are not matched by implementation.³⁶⁴

Other jurisdictions use different thresholds. US securities law recognizes liability for material sustainability misstatements, but only where plaintiffs can satisfy the higher *scienter* standard of intent or recklessness.³⁶⁵ EU member states have not harmonized director liability, but CSRD board-level responsibility, ordinary misrepresentation law and, in some states, criminal fraud provisions still create significant exposure. Australia uses the lower civil-penalty threshold of misleading conduct, which helps explain ASIC’s more aggressive posture. ClientEarth’s derivative action against Shell, although unsuccessful at the permission stage, confirmed that climate governance can

³⁶² *Liability for Greenwashing in Company Sustainability Reports: A Novel Application of the English Tort Law Doctrine of Assumption of Responsibility*, 118 AJIL Unbound 274 (2024).

³⁶³ *Vedanta Resources plc v Lungowe & Ors* [2019] UKSC 20, ¶¶ 51–62 (UK) (holding that a parent company’s published sustainability reports, which stressed board-level oversight of environmental standards at subsidiaries, were sufficient to establish an arguable case that the parent had assumed a duty of care to communities affected by its subsidiary’s mining operations); *see also* Robert McCorquodale & Penelope Simons, *Responsibility Beyond Borders: State Responsibility for Extraterritorial Violations by Corporations of International Human Rights Law*, 70 Mod. L. Rev. 598 (2007) (discussing the doctrinal foundations of parent company liability for subsidiary operations abroad); *see also* Paul Shortell, *Vedanta and the Future of Parent Company Liability*, 4 J. Int’l & Comp. L. 255 (2020).

³⁶⁴ *Liability for Greenwashing in Company Sustainability Reports: A Novel Application of the English Tort Law Doctrine of Assumption of Responsibility*, 118 AJIL Unbound 274 (2024) (analysing how the Vedanta principle extends tort liability to the content of sustainability disclosures, creating a pathway where the gap between published commitments and actual practice generates a legal duty of care).

³⁶⁵ *See* *Ernst & Ernst v. Hochfelder*, 425 U.S. 185, 193 (1976) (establishing that a private action for damages under Section 10(b) and Rule 10b-5 requires proof of *scienter*); *see also* Edward A. Morse, *Reflections on the Rule 10b-5 Revisions*, 69 Tul. L. Rev. 1455 (1995) (discussing the practical implications of the *scienter* requirement for securities fraud claims, including the evidentiary challenges faced by plaintiffs).

also be challenged through fiduciary-duty litigation.³⁶⁶ It also sharpened debate over director-level exposure for climate governance failures and greenwashing risk.³⁶⁷ Comparative commentary now treats these actions as part of a wider move toward board-level ESG liability.³⁶⁸ Directors and officers therefore face growing litigation risk even where claims do not mature into final liability findings.³⁶⁹

The comparative pattern may be summarized as follows:

Table 4.5: Comparative Liability Standards for Director Accountability

Jurisdiction	Liability Standard	Practical Implication
UK	Negligence / assumption of responsibility	Sustainability reporting creates factual basis for duty
US	Scienter (intent or recklessness)	Higher barrier; directors shielded unless bad faith shown
EU	Varies by member state; CSRD creates compliance obligation	Board sign-off on ESRS reports creates direct exposure
Australia	Misleading conduct (no intent required for civil penalty)	Low threshold enables aggressive ASIC enforcement
India	Section 166(2) duty exists; no enforcement mechanism	Statutory duty without operational enforceability

³⁶⁶ *ClientEarth v. Shell plc*, [2023] EWHC 1897 (Ch) (Eng.).

³⁶⁷ *Will Directors Be Held Liable for Corporate Greenwashing?*, Stewarts Law (2024), <https://www.stewartslaw.com/news/will-directors-be-held-liable-for-corporate-greenwashing> (last visited July 27, 2025).

³⁶⁸ Ruhm & Assocs., *The Boardroom Goes Global: Legal Duties and ESG Accountability in 2025*, <https://www.ruhmandassociates.com/board-room-goes-global-legal-duties-esg-accountability-and-transnational-corporate-governance-in-2025> (last visited July 28, 2025).

³⁶⁹ Arati Varma, *Greenwashing and the Risk of Climate-Related Litigation for Directors and Officers*, QBE (Feb. 19, 2024).

This divergence produces a form of liability arbitrage. A company can centralize bold sustainability messaging in jurisdictions where board-level exposure is weak while using more disciplined language where directors face negligence-based or civil-penalty liability. India remains at the weakest end of this spectrum: section 166(2) creates a formal environmental duty, but without monitoring, a developed liability standard, or meaningful penalties, it does not yet function as an upstream accountability mechanism.³⁷⁰

4.10.3 SUBSTANTIATION STANDARDS: FROM ASPIRATION TO ENFORCEMENT

Successful greenwashing prevention requires ex ante substantiation, meaning claims should be proven before publication rather than defended after challenge. The CSRD, Canada's Competition Act, the FTC Green Guides and emerging UK and Singapore guidance all emphasize substantiation. But implementation varies. Some regimes require "adequate and proper" testing (Canada, US) without clearly defining the standard. Others, such as the EU Green Claims Directive, specify lifecycle assessment and third-party verification.

The trade-off is straightforward. Prescriptive substantiation standards of the EU type reduce ambiguity but increase compliance costs. Principles-based standards, seen more clearly in Canada and the US, preserve flexibility but invite litigation over interpretation.

4.10.4 PRIVATE ENFORCEMENT AS COMPLEMENT TO AGENCY ACTION

US private greenwashing litigation and Canada's private competition tribunal right of action represent emerging enforcement pathways. Given resource constraints in

³⁷⁰ See Umakanth Varottil, *The Stakeholder Approach to Directors' Duties Under Indian Company Law*, in *Comparative Corporate Governance* 141, 155–59 (Mathias Siems & David Cabrelli eds., 2018) (noting the absence of standing for non-shareholder stakeholders to enforce Section 166(2) duties and describing the environmental limb as largely unenforceable in practice); see also Commonwealth Climate and Law Initiative, *Formal Legal Opinion on India: Directors' Duties and Climate Change* (2021) (identifying significant procedural hurdles for enforcement of directors' environmental duties under the Companies Act 2013).

regulatory agencies, especially in developing jurisdictions, private enforcement through shareholder derivative actions, class actions and consumer litigation can extend the enforcement frontier.

However, private enforcement also concentrates power in well-resourced actors such as institutional investors, sophisticated NGOs and large law firms and it introduces forum-shopping risks. The EU's consumer-facing directives instead prioritize public enforcement by national authorities, reflecting a different allocation of enforcement responsibility.

4.10.5 THE “GREENHUSHING” RISK

Canada's experience, along with warnings from business groups in the EU, points to a real risk. Overly stringent or ambiguous greenwashing standards may push companies toward greenhushing, meaning complete silence on sustainability initiatives to avoid regulatory exposure. That outcome undermines the goal of transparent sustainability communication.

Mitigation requires three things: (1) clear safe harbors for good-faith disclosure (e.g., “comply or explain” frameworks); (2) proportionality in penalties; and (3) enforcement guidance clarifying expectations.

4.10.6 BEST PRACTICES FOR STATE REGULATION

1. **Pre-Approval of Claims:** The EU's Green Claims Directive model of independent verification before publication is the most effective deterrent against superficial environmental claims.
2. **Clear Definition of Materiality:** States must move toward “double materiality” reporting to ensure that both climate risks to the firm and the firm's impacts on the planet are disclosed.
3. **Mandatory Scope 3 Reporting:** As seen in the HLEG recommendations and the JBS litigation, greenwashing cannot be prevented if companies are allowed to ignore emissions from their supply chains.

4. **Mandatory Independent Assurance:** Sustainability reporting must move beyond self-certification through phased assurance requirements calibrated to claim type and institutional capacity.
5. **Codified Director Accountability:** Explicitly linking ESG oversight to fiduciary duties ensures that sustainability is integrated into the core corporate governance structure.
6. **Whistleblower Protection for Environmental Misrepresentation:** The EU Whistleblower Protection Directive (Section 4.2.4) demonstrates that insider reporting channels, with legal protection against retaliation, provide a complementary detection mechanism for greenwashing that regulatory surveillance alone cannot replicate.

4.10.7 BEST PRACTICES FOR CORPORATE COMPLIANCE

Regulatory standards set the outer boundary, but how companies organise themselves internally matters just as much. To mitigate the rising risk of greenwashing litigation and regulatory fines, companies are increasingly adopting a “Show Your Work” strategy. This involves:

- **Internal Verification:** Implementing regular audits of marketing materials against ISO 14021 standards³⁷¹ and the FTC Green Guides.³⁷²
- **External Assurance Planning:** Matching the level of verification to the claim being made, with stronger review for forward-looking targets, offset claims and value-chain emissions disclosures.

³⁷¹ Kun-Mo Lee & Haruo Uehara, *Best Practices of International Organization for Standardization (ISO) 14021: Self Declared Environmental Claims*, APEC (Feb. 2003), <https://www.apec.org/publications/2003/02/best-practices-of-international-organization-for-standardization-iso-14021-self-declared-environment> (last visited July 24, 2024).

³⁷² *FTC Green Guides*, FED. TRADE COMM’N, <https://www.ftc.gov/news-events/topics/truth-advertising/green-guides> (last visited Jan. 26, 2025).

- Documentation and Traceability: Maintaining comprehensive records of the scientific evidence supporting every claim, including assumptions and limitations.³⁷³
- Clear and Qualified Language: Avoiding absolute terms like “carbon neutral” and “sustainable” and instead using specific, qualified statements such as “Packaging made of 30% recycled plastic”.
- Board-Level Oversight: Ensuring that senior management and directors review major sustainability disclosures so that public claims are aligned with internal controls, implementation pathways and enterprise risk management.
- Cross-Functional Integration: Engaging legal, technical, marketing and assurance teams simultaneously in the development of environmental claims to ensure that “ambitious promises” are backed by “documented plans”.³⁷⁴

4.11 CONCLUSION

Greenwashing is no longer being treated as mere branding excess. Across jurisdictions, three ideas keep recurring: environmental claims must be substantiated, sustainability information is being folded into formal compliance systems and responsibility is moving upward toward boards and senior management. The main divergence lies in institutional design. The European Union has built the most integrated model, linking reporting, consumer-facing claims and assurance. The United Kingdom and Canada have developed coordinated variants through financial, competition and consumer law. The United States remains fragmented and politically unstable, while Australia shows how far a determined regulator can push existing law before a fully unified framework arrives.

³⁷³ *What is ISO 14021? Self-Declared Environmental Claims Explained*, Decerna (2023), <https://www.decerna.co.uk/knowledge-base/life-cycle-assessment/iso-standards/what-is-iso-14021-self-declared-environmental-claims-explained> (last visited Aug. 17, 2024).

³⁷⁴ Giuseppe Labbozzetta, *The Era of Environmental Transparency: Comparative Analysis of Green Claims/Greenwashing Regulations in the European Union, United Kingdom, and United States (2024–2026)*, 19 Int’l In-House Counsel J. (Sept. 2025), <https://www.iicj.net/paper/3785> (last visited Dec. 20, 2025).

Developing economies reveal a different problem. Many still rely on general consumer or advertising law, self-regulation or sporadic enforcement, even as some begin to build taxonomies or greenwashing-specific offences. That unevenness creates a form of regulatory arbitrage: firms can market sustainability more aggressively where oversight is weakest and speak more carefully where verification is costly.

The cases discussed in this chapter point in the same direction. Courts and regulators are no longer concerned only with outright falsehoods. They are testing vague or absolute language and omitted limits.³⁷⁵ They are also targeting offset-based neutrality claims and future-facing pledges unsupported by implementation plans.³⁷⁶

Five design elements emerge from the comparison: (1) board-level accountability for environmental disclosures, including meaningful exposure for directors; (2) an integrated regulatory architecture connecting corporate reporting, consumer protection and assurance; (3) mandatory third-party verification that goes beyond self-certification; (4) substantiation rules that reach forward-looking claims and offset reliance, not just product-level marketing; and (5) penalties proportionate to the economic benefit of greenwashing. Section 4.9 shows that India falls short on each of them. Chapter 5 therefore turns from comparison to diagnosis: it tests whether SEBI's BRSR framework, the CCPA's 2024 Guidelines and section 166(2) of the Companies Act contain these elements and identifies where they do not.

³⁷⁵ Charles Russell Speechlys, *Anti-greenwashing in the UK, EU and the US: The Outlook for 2025 and Best Practice Guidance* (June 9, 2025), <https://www.charlesrussellspeechlys.com/en/insights/expert-insights/dispute-resolution/2025/anti-greenwashing-in-the-uk-eu-and-the-us-the-outlook-for-2025-and-best-practice-guidance> (last visited Jan. 20, 2026).

³⁷⁶ Alexander B. Simkin & Eileen M. Falk, *Greenwashing Legislation Trends: Key Takeaways for Businesses*, Ropes & Gray (Sept. 2, 2025), <https://www.ropesgray.com/en/insights/viewpoints/10212on/greenwashing-legislation-trends-key-takeaways-for-businesses> (last visited Dec. 12, 2025).